

6 October 2026

Taiwan Technology

Reuters 3605.TW
Bloomberg 3605 TT

Priced on 6 October 2026
Taiwan Wtd @ 49,712.0

12M hi/lo NT\$183.50/53.94

12M price target NT\$270.00
±% potential +57%

Shares in issue 163.8m
Free float (est.) 76.5%

Market cap US\$928m

3M ADV US\$58.2m

Foreign s'holding 21.6%

Major shareholders

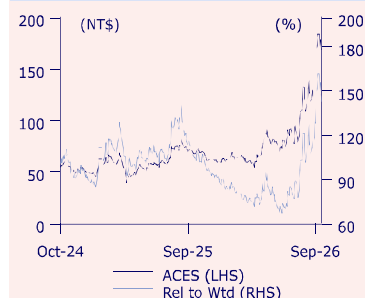
Yuan Wan-Ting 5.3%
Keyan Investment Co., Ltd. 4.0%

SinoPac analysts:

Vanessa Huang, SinoPac
Kevin SW Chen, SinoPac

Stock performance (%)

	1M	3M	12M
Absolute	45.8	96.1	142.0
Relative	36.5	84.6	30.3
Abs (US\$)	45.3	97.9	132.6



Source: Bloomberg

Wired for growth

Initiate coverage with an Outperform rating and target price of NT\$270

ACES is entering a two-engine growth phase. It is a key power cable supplier to Bloom Energy as Bloom doubles its fuel-cell capacity, and it is expanding its high-speed connector content from AI server daughterboards to ASIC motherboards, as a high-speed cable leg comes on stream. We forecast a 72% EPS Cagr over 2026-28, with OPM expanding from 7.4% in 2026 to 11.0% in 2027. Our TP of NT\$270 is based on 20x 2H27-1H28SP EPS, and we initiate coverage at Outperform.

Bloom Energy the key earnings driver in 2027

ACES's multiyear partnership with Bloom locks in its share as Bloom plans to lift capacity from 2GW in 2026 to 4GW/6GW in 2027/28, based on our checks. ACES has shipped fuel-cell power cables to Bloom since 1Q26 and will add external DLO high-voltage cables, with ASP of US\$80-100k per set. We expect Bloom power cables to be NT\$5.8bn of sales and account for 28% of group revenue in 2027. Power products need little incremental R&D and benefit from strong operating leverage. We expect overall OPM to expand from 7.4% in 2026 to 11.0% in 2027.

High-speed products a new driver

Previously, ACES supplied only daughterboard connectors, at 10-20 units per rack. On ASIC platforms, where ODMs have more say in supplier selection, ACES has secured the opportunity to ship both motherboard and daughterboard connectors (about 30 units per rack) and broadens its connector product offerings. With Gen6 connectors carrying around a 15% ASP premium over Gen5, and ACES as one of only four vendors qualified by CSPs at Gen6, we forecast server revenue growth of 107%/74% YoY in 2026/27. The newly added Gen6 PCIe cable product, qualified by two CSPs, began shipping in April 2026 at 20% of GM, with room to rise towards 30% as yield improves. Hence, we expect GM to recover to 26% in 2027.

Capacity in place ahead of demand

ACES has committed firm capacity ahead of demand. For power cables, it has leased a new facility next to its Philippine plant, with new capacity planned to come online in 4Q26. For server products, it plans to raise connector capacity from 4m to 5m units/mo and will expand high-speed cable production lines from two to eight.

Initiate coverage with an Outperform rating

We forecast 2027/28SP EPS of NT\$11.19/NT\$14.93, with our 2027 forecast 48% ahead of consensus. Our TP of NT\$270 is based on 20x 2H27-1H28SP EPS, backed by a 72% EPS Cagr in 2026-28SP driven by power cable ramp-up and high-speed connector shipment growth. We initiate coverage with an Outperform rating.

Financials

Year to 31 December	24A	25A	26SP	27SP	28SP
Revenue (NT\$m)	9,771	10,860	13,199	20,531	26,733
Net profit (NT\$m)	344	661	830	1,961	2,617
EPS (NT\$)	2.40	4.35	5.07	11.19	14.93
SP/consensus (4) (EPS%)	-	-	104	148	-
EPS growth (% YoY)	nm	81.5	16.6	120.5	33.4
PE (x)	71.8	39.5	33.9	15.4	11.5
Dividend yield (%)	0.4	0.9	1.0	2.3	3.0
FCF yield (%)	(1.1)	(0.4)	0.4	0.9	0.2
PB (x)	4.1	3.6	3.6	3.0	2.5
ROE (%)	6.0	9.5	10.3	21.1	23.6
Net debt/equity (%)	21.9	7.9	(0.1)	(1.1)	4.1

Source: SinoPac

Initiating coverage

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Financials at a glance

Year to 31 December	2024A	2025A	2026SP	(% YoY)	2027SP	2028SP
Profit & Loss (NT\$m)						
Revenue	9,771	10,860	13,199	21.5	20,531	26,733
Cogs (ex-D&A)	(6,710)	(7,317)	(9,157)		(14,566)	(19,258)
Gross Profit (ex-D&A)	3,061	3,543	4,042	14.1	5,965	7,475
SG&A and other expenses	(2,043)	(2,227)	(2,313)		(3,085)	(3,923)
Op Ebitda	1,018	1,316	1,729	31.4	2,881	3,551
Depreciation/amortisation	(740)	(719)	(758)		(618)	(491)
Op Ebit	278	597	970	62.6	2,263	3,060
Net interest inc/(exp)	(62)	(48)	(38)		(38)	(38)
Other non-Op items	170	267	114	(57.4)	196	209
Profit before tax	387	815	1,046	28.4	2,421	3,231
Taxation	(43)	(154)	(216)		(460)	(614)
Profit after tax	344	661	830	25.6	1,961	2,617
Minority interest	0	0	0		0	0
Net profit	344	661	830	25.6	1,961	2,617
Adjusted profit	344	661	830	25.6	1,961	2,617
Cashflow (NT\$m)						
Operating profit	278	597	970	62.6	2,263	3,060
Depreciation/amortisation	740	719	758	5.4	618	491
Working capital changes	(184)	29	(379)		(1,451)	(2,140)
Other items	137	(134)	(150)		(311)	(451)
Net operating cashflow	971	1,210	1,199	(0.9)	1,119	960
Capital expenditure	(1,253)	(1,308)	(1,075)		(855)	(887)
Free cashflow	(283)	(98)	124		264	73
M&A/Others	137	324	0		0	0
Net investing cashflow	(1,117)	(984)	(1,075)		(855)	(887)
Increase in loans	62	508	1,000	96.9	-	-
Dividends	0	(112)	(239)		(292)	(689)
Net equity raised/other	(43)	(252)	0		0	0
Net financing cashflow	19	144	761	427.5	(292)	(689)
Incr/(decr) in net cash	(127)	370	885	139.1	(28)	(616)
Exch rate movements	70	112	0		0	1
Balance sheet (NT\$m)						
Cash & equivalents	2,001	2,483	3,368	35.6	3,341	2,725
Accounts receivable	3,352	3,331	3,473	4.3	5,133	7,426
Other current assets	1,537	1,597	2,640	65.3	3,957	5,098
Fixed assets	4,415	4,871	5,136	5.4	5,526	6,104
Investments	1,023	1,267	888	(29.9)	888	888
Intangible assets	154	140	140	0	140	140
Other non-current assets	1,115	1,161	1,161	0	1,161	1,161
Total assets	13,596	14,849	16,808	13.2	20,146	23,544
Short-term debt	428	913	1,169	28	1,037	1,040
Accounts payable	1,961	2,016	2,833	40.5	4,338	5,643
Other current liabs	1,127	1,086	1,076	(1)	1,096	1,086
Long-term debt/CBs	2,991	2,194	2,194	0	2,194	2,194
Provisions/other LT liabs	628	706	880	24.7	1,156	1,328
Shareholder funds	6,260	7,726	8,447	9.3	10,117	12,045
Minorities/other equity	202	208	208	0	208	208
Total liabs & equity	13,596	14,849	16,808	13.2	20,146	23,544
Ratio analysis						
Revenue growth (% YoY)	15.1	11.1	21.5		55.5	30.2
Ebitda margin (%)	10.4	12.1	13.1		14.0	13.3
Ebit margin (%)	2.9	5.5	7.4		11.0	11.4
Net profit growth (%)	nm	92.2	25.6		136.3	33.4
Op cashflow growth (% YoY)	46.3	24.7	(0.9)		(6.6)	(14.2)
Capex/sales (%)	12.8	12.0	8.1		4.2	3.3
Net debt/equity (%)	21.9	7.9	(0.1)		(1.1)	4.1
Net debt/Ebitda (x)	1.4	0.5	-		-	0.1
ROE (%)	6.0	9.5	10.3		21.1	23.6
ROIC (%)	3.5	6.3	9.3		19.2	20.9

Source: SinoPac

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Each set of power cables for Bloom carries dollar content of US\$80-100k

ACES holds at least a 30% share

We expect power cables for Bloom to grow 441%/59% in 2027/28

Bloom delivers compelling time-to-power

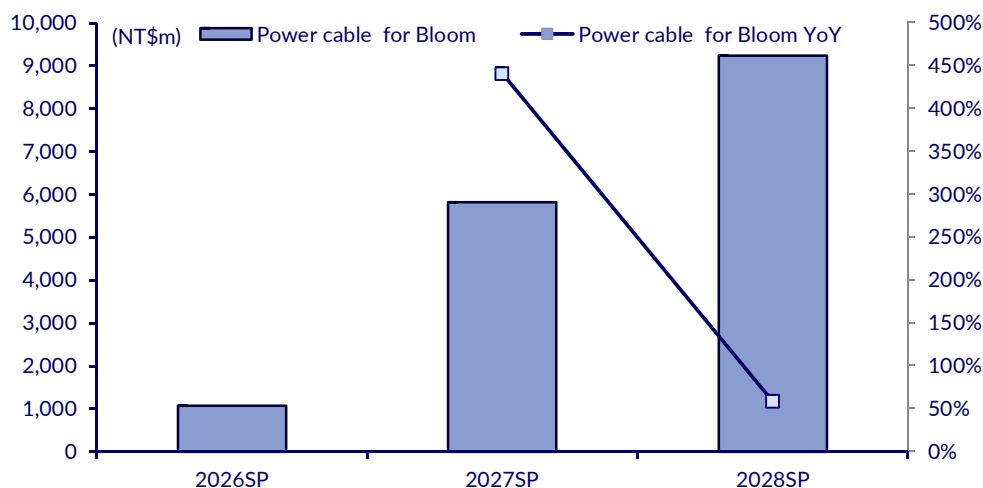
Bloom Energy the key earnings driver in 2027

We see tremendous advantages for ACES from Bloom Energy's strong demand backed by its aggressive expansion plan. ACES supplies inner power cables used inside each fuel cell in 2026 and will begin supplying external diesel locomotive (DLO) cables that connect fuel cell stacks into a fuel cell module (energy server). Each set (including inner cable and external cable) carries dollar content of US\$80-100k.

Furthermore, ACES has worked with Bloom on high-voltage power cables for SOFC for around six years, even though the real contribution did not transpire until 2026. On the back of this long-standing relationship, ACES is the key supplier during the development phase and holds at least a 30% share in the mass production stage. Together with these considerations, we expect inner cables to contribute revenue of NT\$5,113m/NT\$8,074m in 2027/28, while external cables will add revenue of NT\$707m/NT\$1,154m.

Figure 1

Power cable revenue from Bloom Energy and YoY change



Source: SinoPac

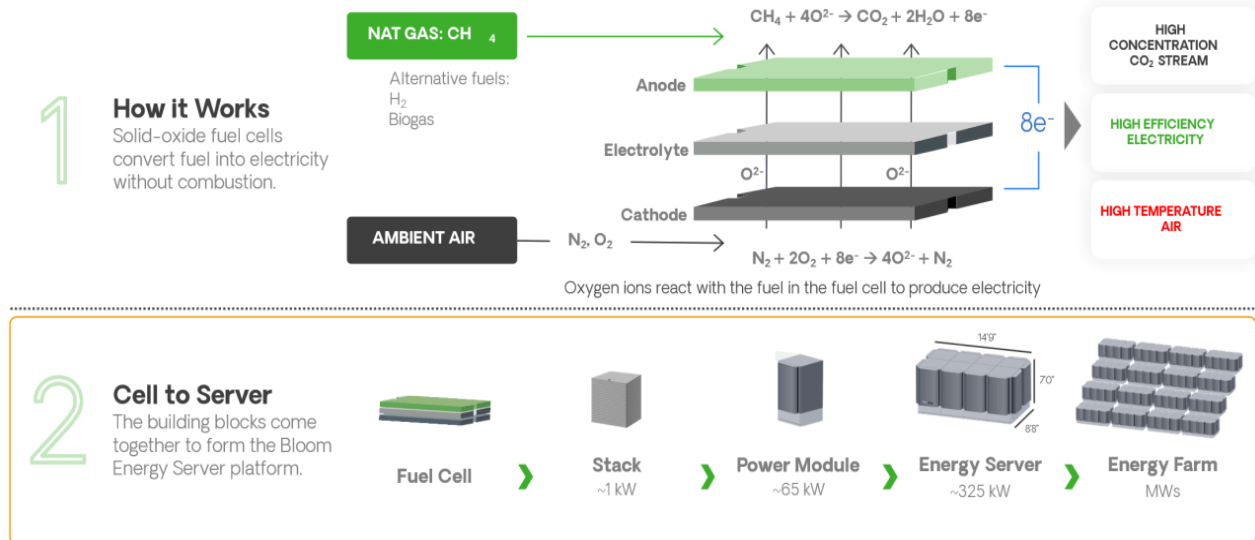
As power scarcity remains the key bottleneck for AI datacentre construction, Bloom serves as a suitable solution and offers fuel cell systems that generate electricity from natural gas. Its modular, on-site, 24/7 power platform stands apart in the power sector. Against a conventional grid built on centralised generation, Bloom delivers compelling time-to-power, cleaner air and water emissions profile, native-DC compatibility with emerging 800V AI datacentre architectures, and a solution that communities and nearby residents accept more readily.

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Figure 2

Bloom Energy overview



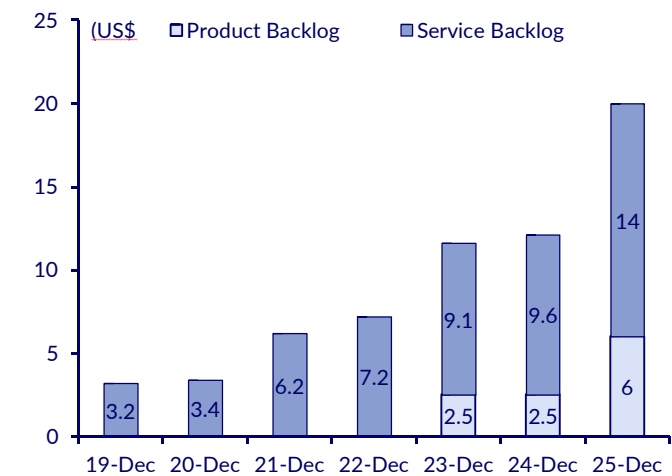
Source: Bloom Energy

We expect Bloom to increase capacity from 2GW to 4GW/6GW in 2027/28

As of year-end 2025, Bloom's product backlog grew about 140% YoY to roughly US\$6bn. Amid the surging demand, Bloom is improving backlog conversion and stepping up capacity expansion to capture the strong growth opportunity. In 2Q26, Bloom raised its full-year revenue guidance to US\$3.9-4.2bn, up from US\$3.4-3.8bn, and plans to double annual capacity from about 1GW in 2025, split across its California and Delaware sites, to 2GW by the end of 2026; and will further expand the capacity to 4GW/6GW in 2027/28, based on our channel checks.

Figure 3

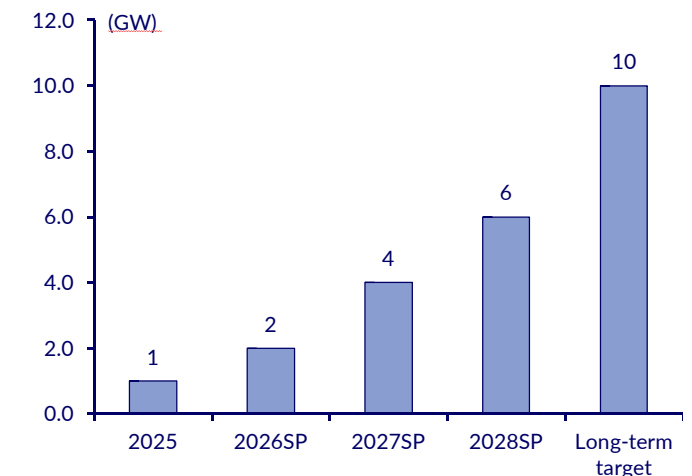
Bloom product backlog grew about 140% YoY in 2025



Source: SinoPac

Figure 4

Bloom Energy annual capacity forecast



Source: Sinopac

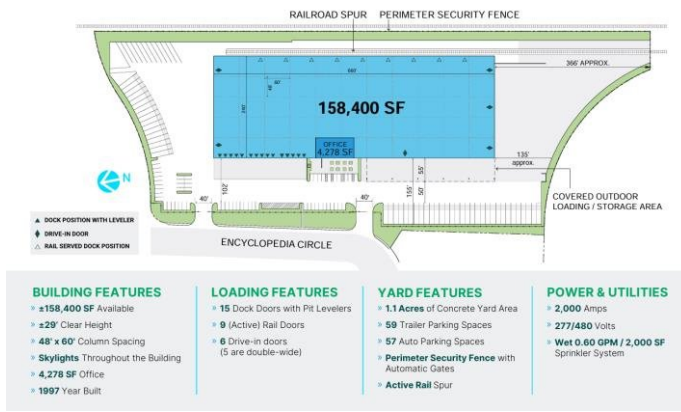
We believe Bloom has great potential. On September 2026, Bloom announced that it leased a 158,000-square-foot facility at Encyclopedia Circle to expand its manufacturing operations. The size of the new facility is notable since it is nearly

The newly leased facility could add another 5 GW, implying a long-term capacity potential of up to 10 GW

as large as Bloom's existing 164,000-square-foot manufacturing plant in Fremont. The existing plant can ultimately accommodate approximately 5GW of annual production capacity, which suggests the newly leased facility could add another 5GW for fuel cell stacks, implying a long-term capacity potential of up to 10GW. Given the multiyear partnership that secures ACES's share, we have strong conviction that ACES is well positioned to benefit from Bloom's capacity expansion.

Figure 5

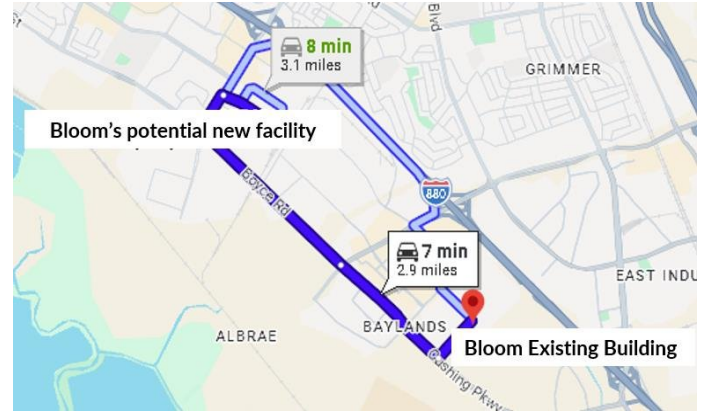
The newly leased facility has similar floor-area to existing plant



Source: LoopNet

Figure 6

Potential location of Bloom's new facility



Source: SinoPac, Google Maps

Figure 7

Bloom Energy potential new facility site



Source: LoopNet, Sinopac

We view Bloom's growth as sustainable, supported by favourable industry tailwinds. On financing, Bloom and Brookfield are partnering to develop AI datacentre power

DLO high-voltage cables launch might add another NT\$707m in revenue

The power cable portfolio includes inner cable and external cable

infrastructure, with Bloom providing its fuel cell-based power generation systems and Brookfield providing capital and infrastructure development capabilities. The strategic financing framework expanded on June 30, 2026, from the original \$5bn (October 2025) to \$25bn, a fivefold increase. On customer wins, Nebius dropped its previously planned gas and combustion turbines in May 2026 and switched to Bloom's SOFC solution, signing a 10-year master agreement worth up to \$2.6bn. The first phase covers 328MW of installed capacity, or roughly 250MW of guaranteed capacity, and is expected to come online within 2026. Bloom also expanded its Oracle contract from an initial 1.2GW to up to 2.8GW and signed deals including AEP (up to 1 GW) and Equinix (over 100 MW across 19 datacentres), broadening its customer base materially.

Wide range of power cable products

ACES supplies Bloom with a variety of power cables across different specifications, including Power Conversion System (PCS) cables, hot box cables and Diesel Locomotive (DLO) high-voltage cables, rather than a single product type. In 2026, ACES only supplies PCS cables and hot box cables, while the company will expand its product offerings to DLO high-voltage cables from 2027, which we expect to contribute another NT\$707m of sales for the whole year.

The PCS cables and hot box cables are the inner power cables. Hot box cables interconnect individual fuel cells within the hot box, where power generation creates significant heat and therefore requires materials with higher durability and heat resistance. Kaori and MTAR supply hot boxes for fuel cell power generation systems, which require ACES's hot box cables as one of their key components.

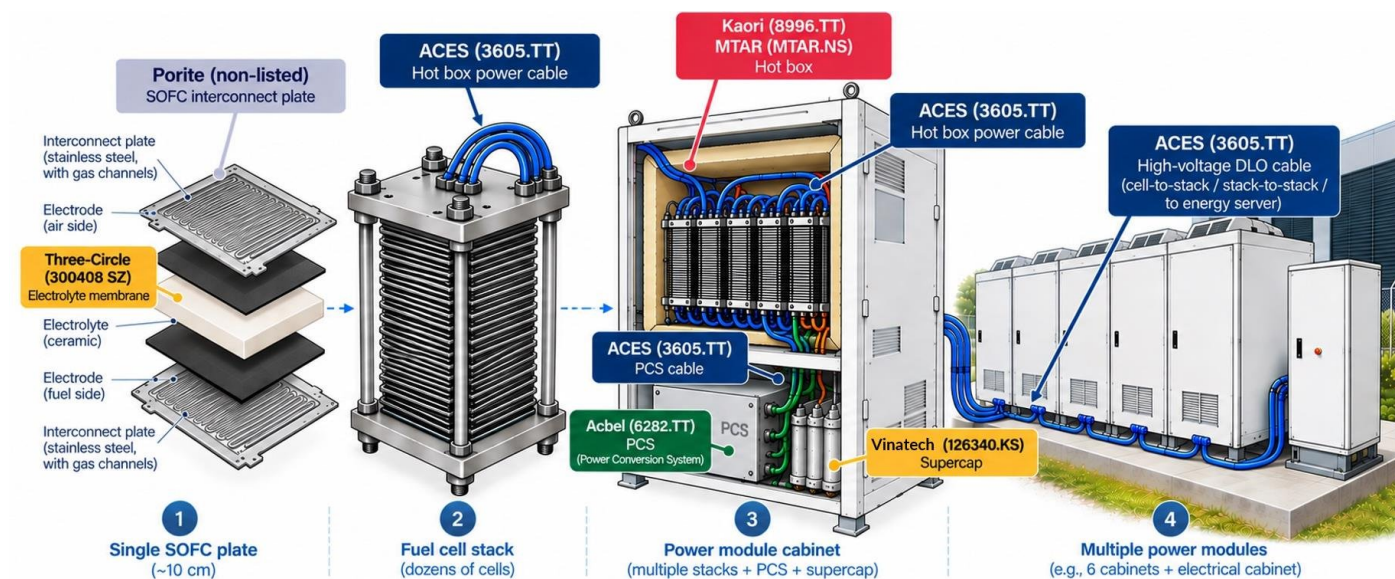
On the other hand, PCS cables are installed inside the Power Conversion System (PCS) and are supplied to AcBel, a PCS solution provider. The PCS converts DC output into usable power and manages load changes. As SOFCs generate DC power with voltage varying according to load, the output cannot be directly connected to a datacentre.

The external power cable portfolio is mainly DLO high-voltage cables, which transmit high-voltage DC power between fuel cell platforms, power modules and microgrid systems. As external cables need to withstand higher voltage levels, their dollar content is expected to be slightly higher than that of inner power cables.

Lastly, ACES also ships cables directly to Bloom Energy for development purposes.

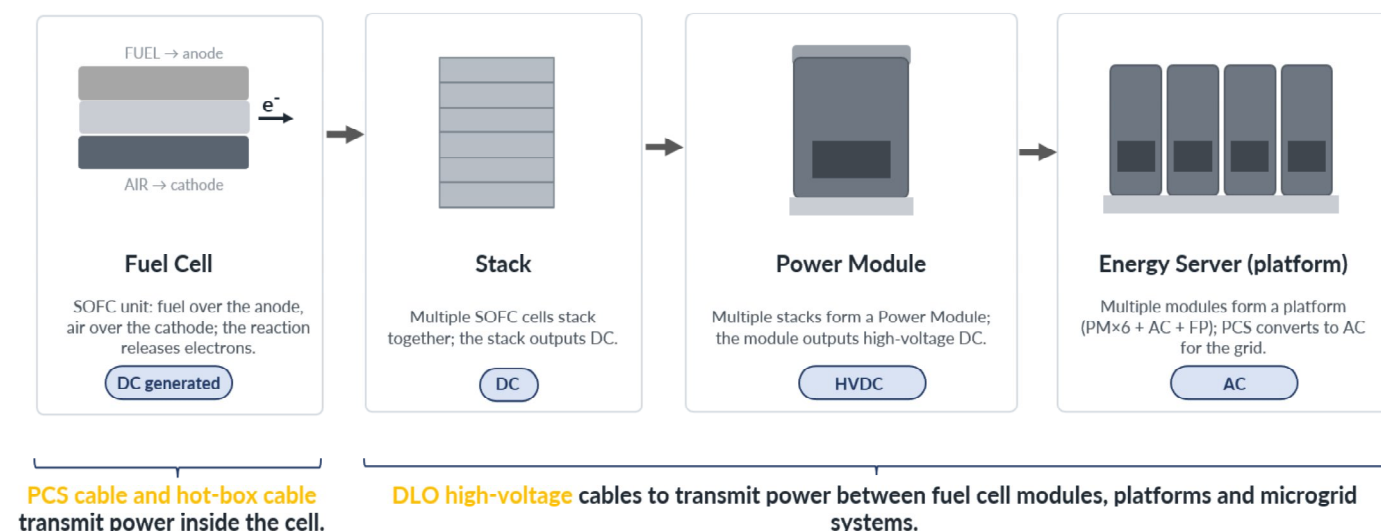
Figure 8

ACES power cable product and Bloom energy suppliers



Source: SinoPac, Bloom Energy

Figure 9

ACES supplies Bloom with a variety of power cables across different specifications

Source: SinoPac

DLO high-voltage cable opportunity heading into 800V DC era

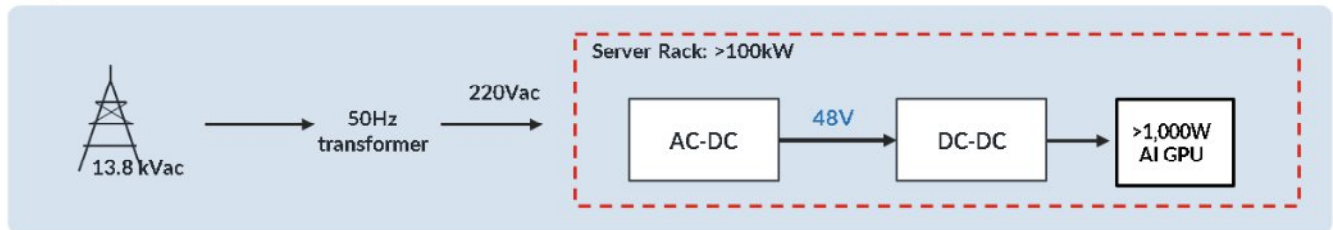
We also see DLO cables, which are currently used outside the fuel cell, as having significant potential after introducing 800V architecture. Under conventional AC architecture, grid power, onsite turbines and reciprocating engines supply AC power, and the downstream transformer, switchgear and UPS cables belong to the utility/EPC supply chain, which ACES does not address. Bloom can deliver native DC power directly to the rack, so the DC output cables might become part of Bloom's system. We see this opening as a new content opportunity for ACES as a qualified high-voltage power cable supplier.

Within Bloom's energy server under 800V architecture, the longer series stack of fuel cells and the replacement of the inverter with DC-DC conversion require a redesign of the internal harness to high-voltage specifications, which we believe positions ACES to ship a growing volume of high-voltage DLO cables over time.

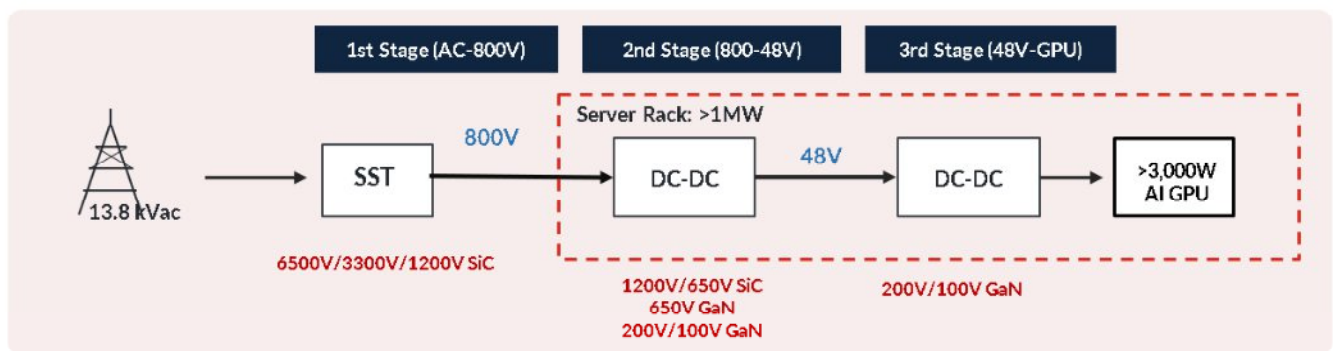
Figure 10

800V DC architecture

Today's AI 48V Data Centers



Future AI 800V Data Centers



Source: SinoPac, TrendForce

We expect ACES's server business to grow 107% in 2026

Expect server revenue to grow a further 74%/33% in 2027/28SP

High speed connector products include multi-track, board-to-board and E1/E3 connectors

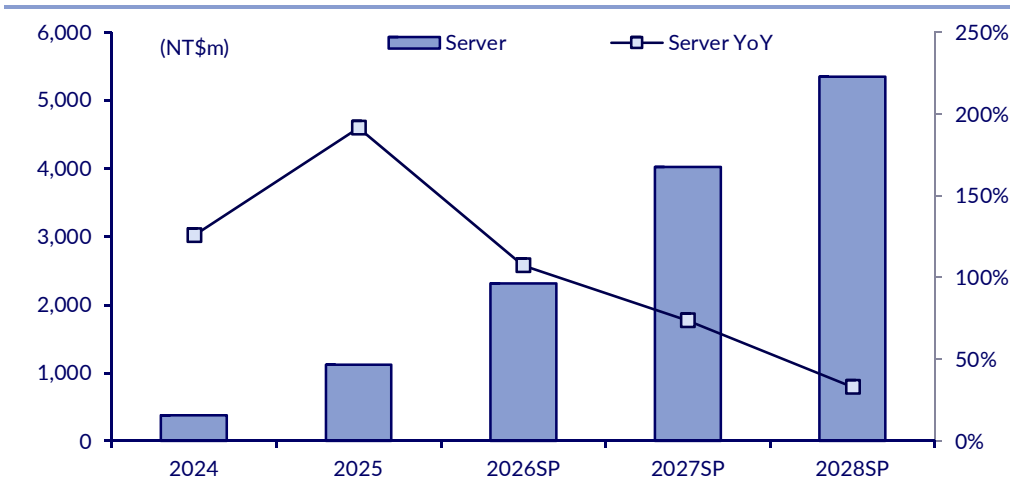
High-speed products a new driver

In 3Q24, ACES passed product qualification with ODMs for the high-speed connectors used on Nvidia GB200 networking cards (NICs) and accelerator cards, marking its move from traditional PC peripherals into the server space and Nvidia supply chain. In 2025, server revenue accounted for 10% of ACES's total revenue.

Looking ahead, we expect ACES's server business to grow 107% in 2026, thanks to its new product offerings, higher content per rack of high-speed products, and strong contribution from two major ASIC customers. Looking ahead, with the new connector capacity coming online and increasing ASP driven by connector spec upgrade, we expect server revenue to further grow 74%/33% in 2027/28SP.

Figure 11

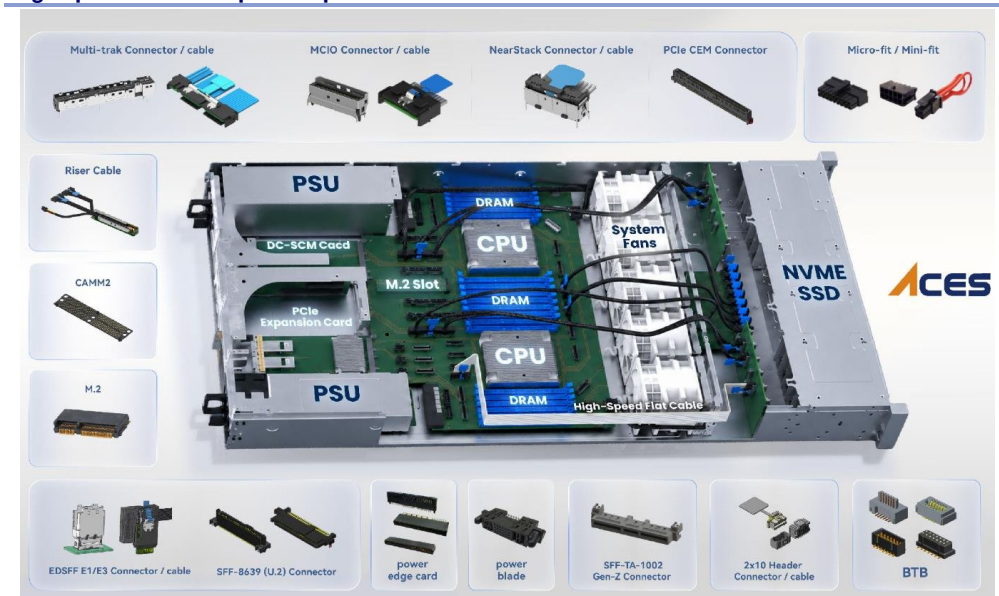
Server sales and YoY



Source: SinoPac

Figure 12

High-speed connector product portfolio



Source: ACES

Connectors for ASIC carry up to 3x usage

ACES broadening its connector product offerings in 2026

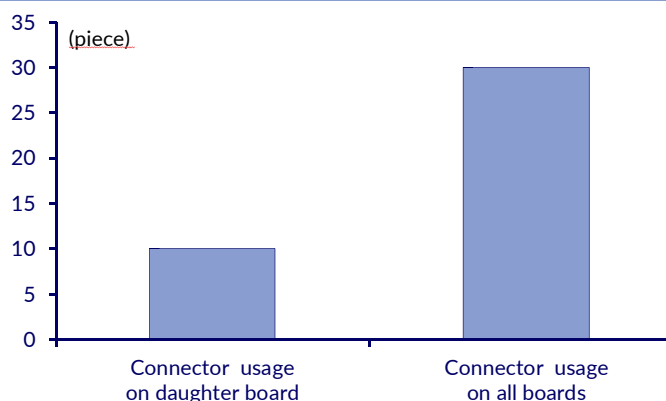
Broadening connector footprint in ASICs

Since Nvidia has strict control over its supply chain, ACES previously supplied only the daughterboard high-speed connectors for GB200/300 servers, at roughly 10 to 20 units per rack. On ASIC platforms, since ODMs have greater influence over supplier selection, ACES secures share on both the motherboard and the daughterboard, lifting content to around 30 units per rack.

Besides, ACES historically supplied only MCIO connectors to these ASIC customers, but as further qualifications clear, the company will broaden its connector product offerings in 2026 to include Multi-Track, board-to-board, and E1/E3 connectors. We expect the contribution from ASIC customers to scale further in 2H26, driving server revenue to grow 64% HoH.

Figure 13

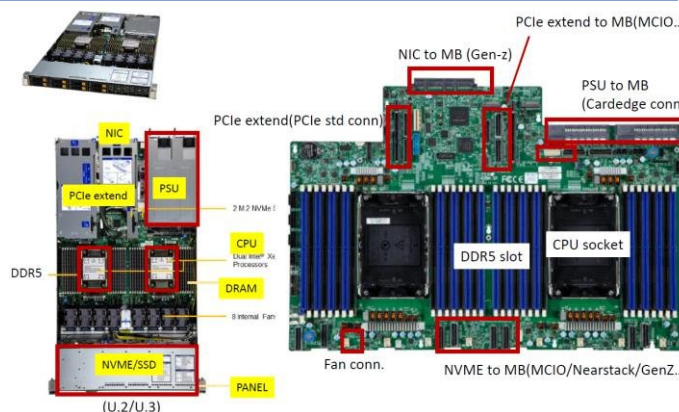
ACES high-speed connector content per rack increase



Source: SinoPac

Figure 14

ACES provides MCIO and a wide range of high-speed connectors



Source: ACES

Migration from Gen5 to Gen6 is the first major shift since 2022

Riding the Gen6 ASP curve with a compatibility advantage

Aside from the spectacular growth in the connector shipments, we expect ACES to benefit from the ongoing Gen6 connector upgrade cycle, with ASPs expected to increase by 15%. The AI server trays currently adopt a mix of Gen5 and Gen6 connectors, but we expect the penetration of Gen6 connectors to gradually increase going forward as the migration from Gen5 to Gen6 is the first major generational shift since Genoa introduced Gen5 in 2022.

Gen6 connector ASP is 15% higher than Gen5

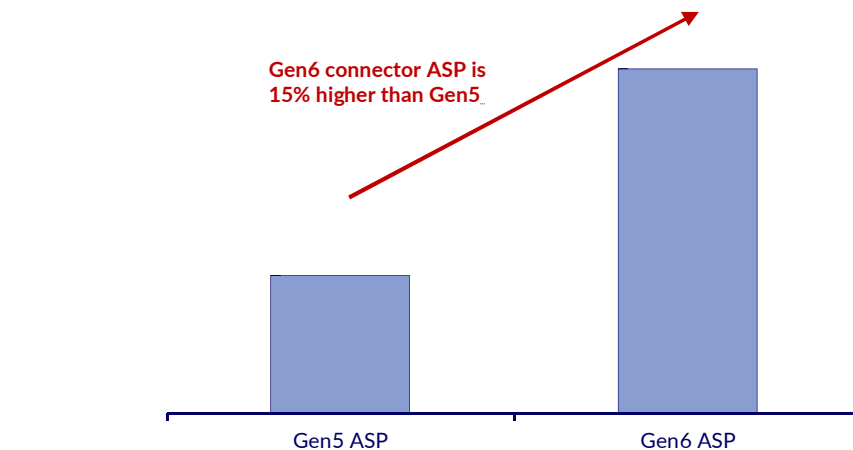
Only 3-4 vendors are qualified by CSPs at Gen6

PCIe has been used in on-board and in-chassis interconnects

Each generation upgrade raises barriers to entry

Figure 15

Gen6 connector ASP is 15% higher than Gen5



Source: SinoPac

Only three to four connector vendors are qualified by CSPs at Gen6, and ACES is one of them. Furthermore, ACES can supply both Gen5 and Gen6 platforms under its existing qualification, with no need to re-sample or re-qualify for Gen5. This is because Gen6 connectors keep footprint backward compatibility with Gen5. By contrast, other peers must re-sample and run through the full qualification process again to move up to Gen6.

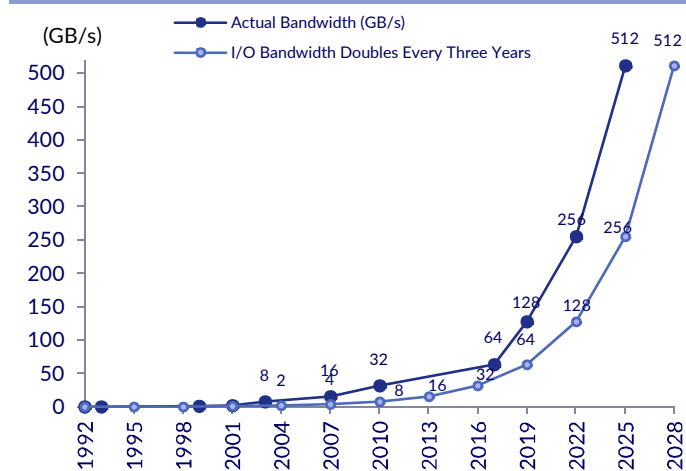
About the PCIe migration and Gen6 spec upgrade

PCIe has long been used for on-board and in-chassis interconnects. In the Vera Rubin platform, PCIe Gen6 serves as the in-tray bridge to front-of-tray modules such as CX-9 SuperNICs, BlueField-4 DPUs and NVMe storage. GPU-to-GPU scale-up runs on NVLink, with UALink as the open alternative; these fabrics work alongside PCIe.

In order to address ever-larger training models, the PCIe must scale with the fast-growing size of model parameters and datasets. The move from Gen5 to Gen6 is not a simple speed doubling, even though per-lane bandwidth rises from 32 GT/s to 64 GT/s. It reworks the link from the coding scheme up. Gen1 through Gen5 doubled I/O speed using NRZ signaling. Gen6 switches to PAM4 four-level signaling and, for the first time, adds FEC (Forward Error Correction), which lets the receiver detect and correct transmission errors on its own.

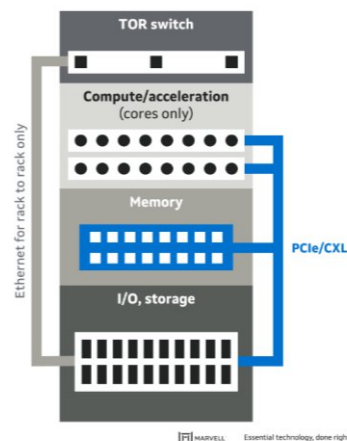
Each generation doubles bandwidth while tightening signal-integrity specs, which demands higher-precision connector manufacturing. This creates a real barrier to entry for high-speed connector suppliers.

Figure 16

PCIe doubles its bandwidth with each generation

Source: Marvell

Figure 17

PCIe is used for on-board and in-chassis interconnects

Source: Marvell

Figure 18

Migration comparison: PCIe 4/5/6

Feature	PCIe 4.0 (Gen 4)	PCIe 5.0 (Gen 5)	PCIe 6.0 (Gen 6)
Data Rate per Lane	16 GT/s	32 GT/s	64 GT/s (2x Gen 5)
Signalling Technology	NRZ	NRZ PAM4 (Pulse Amplitude Modulation, 4 levels)	
Encoding	128b/130b	128b/130b	FLIT-based (256-byte fixed-size packets)
Error Correction	Basic CRC	Basic CRC	Forward Error Correction (FEC) + CRC
Bandwidth per Lane (uni-directional)	~2 GB/s	~4 GB/s	~8 GB/s
Total Bandwidth x16 (bi-directional)	64 GB/s	128 GB/s	256 GB/s
Power Efficiency	Basic	Basic	Introduced L0p low-power state for scaling
Security Enhancements	None	CMA, IDE (added via PCIe 5.0 ECN)	Enhanced IDE (FLIT-mode, partial header encryption)
Target Applications	High-end gaming, SSDs, etc.	AI/ML, HPC, high-performance storage; content creation and demanding workloads	Advanced AI, 800G Ethernet, NVMe, CXL
Adoption	Mature, widely adopted	Mainstream, datacentre standard	Emerging, ramping in AI/datacentre
Spec Release	2017	2019	2022
Backward Compatibility	Backward compatible with previous versions	Backward compatible, optimised on newer hardware	Full compatibility with earlier gens

Source: SinoPac

Figure 19

Core highlights of PCIe Gen6

Core upgrade	Before/challenge	Why it matters
PAM4 encoding (2x bandwidth)	NRZ: two levels (0/1), 1 bit per cycle	Doubles the rate to 64 GT/s (256 GB/s x16 bi-dir) with no frequency increase – same Nyquist as Gen 5 – avoiding severe high-frequency signal loss
FEC error correction	PAM4's fine voltage steps are noise-sensitive, pushing BER far above NRZ	Lightweight FEC + CRC-retry design keeps added latency near zero, unlike typical FEC
FLIT packaging	Variable packet sizes	Simpler decoding and near-0% encoding overhead, boosting real throughput
L0p low-power state	Saving power meant restarting the whole link	Idle lanes sleep on demand while active lanes keep running – saves power without dropping the connection

Source: SinoPac

High-speed cables emerging as a potential driver

ACES previously supplied connectors only. After several years of effort, its Gen6 PCIe cable has now been qualified by two CSP clients, and the company began shipping the in-rack cable product in April 2026. We expect high-speed cable shipments to enlarge after the new capacity comes online and more CSP orders in 2H26. Hence, we expect high-speed cable revenue to grow from NT\$268m in 2026 to NT\$793/NT\$982m in 2027/28.

Currently, its high-speed cable product carries gross margin of merely 20%, but it is likely to edge up to around 30% as the scale enlarges, and yield improves.

Figure 20

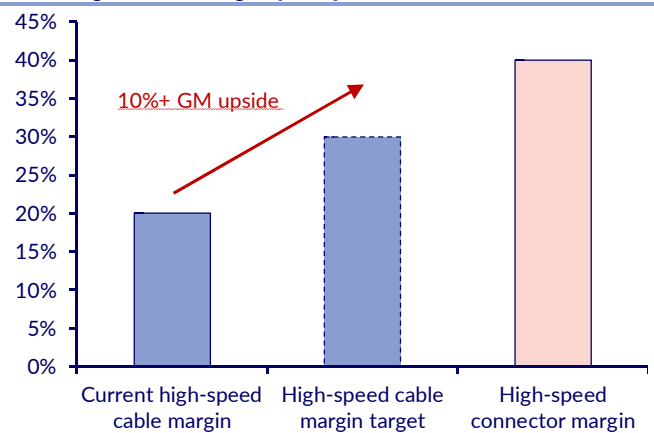
ACES high-speed cable product offerings



Source: ACES

Figure 21

Gross margin of ACES high-speed products



Source: SinoPac

Connector capacity is set to rise from 4m units/month to 5m units/month

ACES expects connector shipments to reach 50m units in 2027

Capacity in place ahead of demand

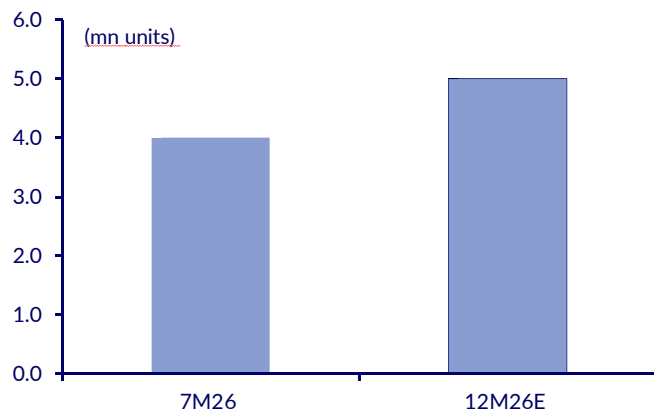
ACES is rapidly expanding its high-speed cable and connector capacity, with high-speed cable production lines expected to increase from two in 2025 to eight in 2H26, while it will proactively ramp up connector monthly capacity from 4m units in July 2026 to 5m units by the end of 2026 to address customer demand ahead of order placement.

Supported by strong customer demand and sufficient capacity, ACES expects total connector shipments to reach 25m units in 2H26 and 50m units in 2027, representing a significant increase from 15m units in 1H26.

As for power cables for Bloom Energy, ACES has leased a new facility next to its Philippine plant, with the new power cable capacity planned to come online in 4Q26.

Figure 22

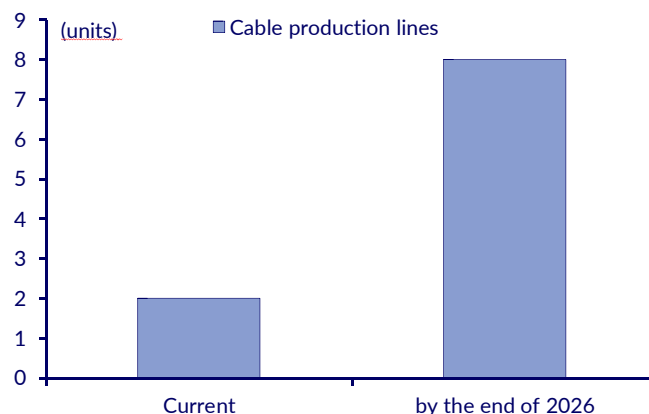
ACES connector monthly capacity expansion plan



Source: ACES, SinoPac

Figure 23

ACES high-speed cable production lines will increase 4x by 2026



Source: ACES, SinoPac

Figure 24

ACES global production footprint

Global Service Footprints



Source: ACES

Networking: stable growth

Diversified growth engines

ACES's networking product portfolio includes set-top boxes, WiFi devices, routers, and other networking equipment. We expect the business to benefit from technology upgrades and equipment replacement driven by advances in wireless communications, IoT, cloud computing, and cybersecurity. However, tariff and inflationary pressures, together with component shortages among Asian customers, are likely to limit growth. We expect networking product revenue to grow by 34% and 14% in 2026 and 2027, respectively.

Figure 25

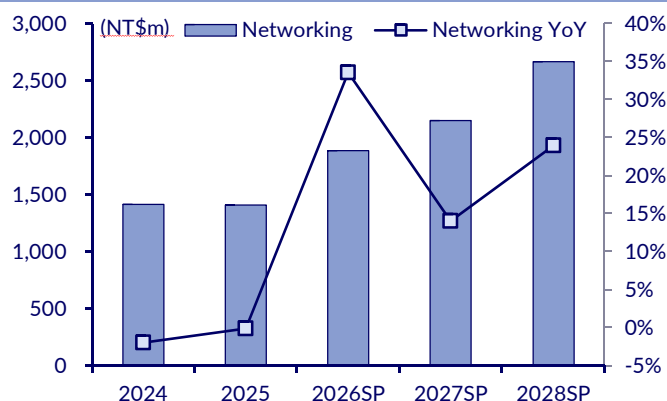
ACES Networking product offerings



Source: ACES

Figure 26

Networking sales and YoY



Source: SinoPac

Automotive: rising electronic content

ACES's product range spans ADAS, reversing radar and camera, body control, smart cockpit, smart antenna, and high-voltage connectors and harnesses, extending into applications such as EV charging guns. It has entered a US EV major as well as European and Chinese Tier-1 supply chains. Going forward, it will continue to focus on high-voltage, high-frequency, and high-speed connection technologies. The company expects the automotive sector to stay flat in 2027 to reflect muted demand and limited internal resource allocation, as it focuses on AI-related business at this stage. In the long-term, growth from the automotive sector will be driven by ADAS upgrades, which lifts demand for sensors and compute, alongside rising EV penetration, which adds high-value electronic systems and power semiconductor content.

Figure 27

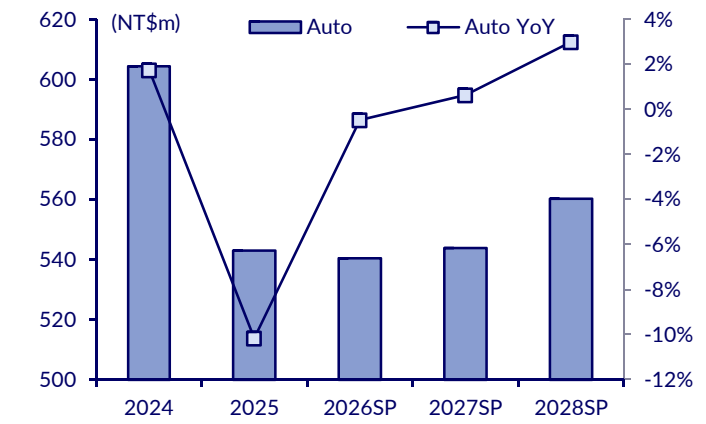
ACES Automotive product portfolio



Source: ACES

Figure 28

Automotive sales and YoY change



Source: SinoPac

Industrial: a steady UPS-driven base

ACES supplies industrial power cords, used mainly in uninterruptible power systems (UPS). A UPS is an electrical device that acts as a reliable buffer when the main power supply behaves abnormally, such as during a fault, outage, or unstable voltage. It keeps automation controllers, sensors, and actuators continuously powered so equipment keeps running. When a power problem occurs, the UPS supplies stable backup power to prevent equipment failure, data corruption, or system crashes. We expect ACES's industrial business to grow steadily, with growth of 9% and 14% in 2026 and 2027, respectively.

Figure 29

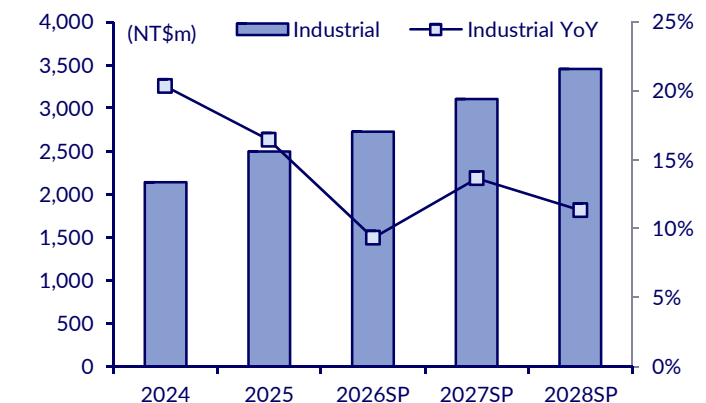
ACES Industrial product portfolio



Source: ACES

Figure 30

Industrial sales and YoY



Source: SinoPac

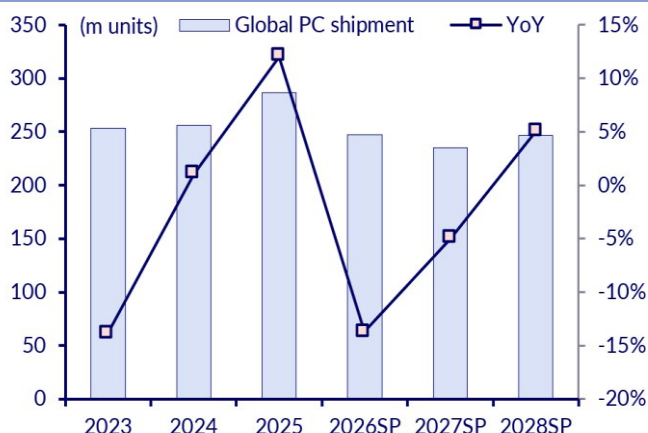
Muted 2026, with Windows 12 driving a replacement cycle in late 2027

Notebook and Consumer

Under the twin pressures of softening end-consumer demand and continued supply-chain cost increases, we expect ACES's full-year NB revenue to decrease 12% in 2026 and return to a growth trajectory in 2027. However, we remain cautiously optimistic about 2027 with the launch of Windows 12, combined with easing component shortages and broader AI adoption, which should drive consumer replacement demand, lifting global NB shipments -5%/5% year over year in 2027/28, which is a gradual recovery following a weaker 2026.

Figure 31

Global NB shipment forecast



Source: SinoPac

Figure 32

ACES Consumer product portfolio

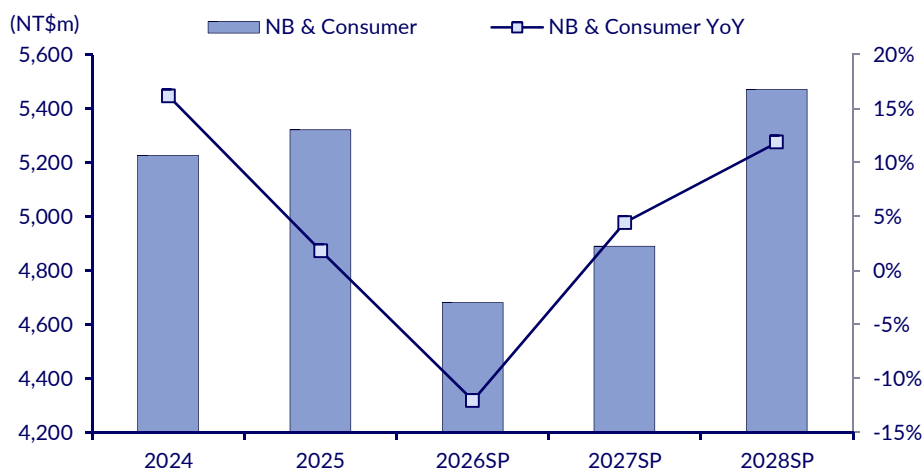


Source: ACES

We expect NB and Consumer to return to a growth trajectory from 2027

Figure 33

NB and Consumer sales and YoY



Source: SinoPac

Diversifying into new growth opportunities

We found that ACES is diversifying its products' end-application by developing new specification and engaging with new clients. Hence, we believe in its long-term balanced growth.

Power rack: leveraging its long-standing relationship with Schneider

ACES has a long-standing relationship with Schneider Electric at its Philippine plant. The partnership dates back more than 20 years, with ACES's Philippine plant initially serving Schneider almost exclusively. Over the years, the product portfolio has expanded from conventional power cables to uninterruptible power systems (UPS) and, more recently, power racks for AI datacentres.

ACES has long-standing relationship with Schneider Electric

ACES ramped-up high-voltage power cables for power racks in 2Q26

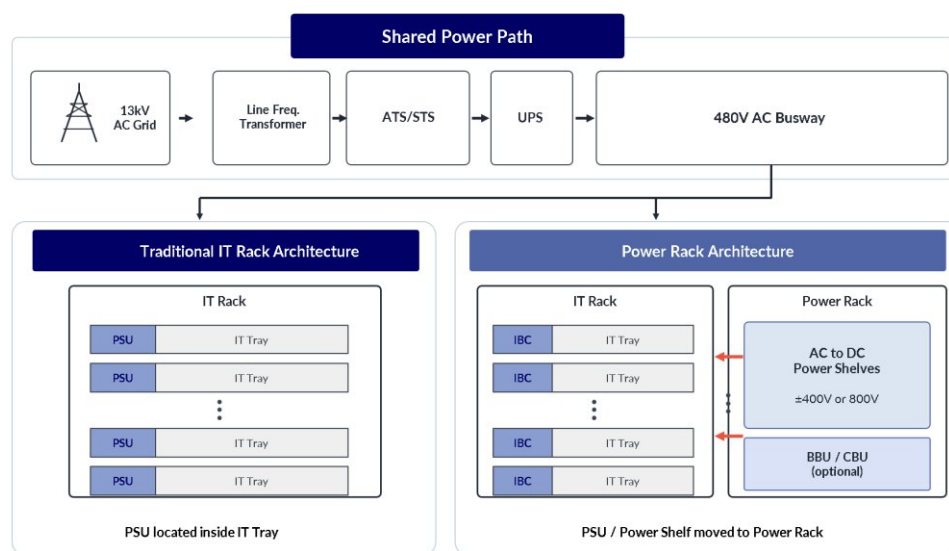
ACES began shipping high-voltage power cables for power racks in 1Q26 and entered the volume ramp-up phase in 2Q26. We remain positive on power rack adoption as the PSU in every IT tray hits a physical limit as rack power reaches 1MW, occupies rack space and caps compute density. Moving power shelves and BBU/CBU into a dedicated power rack decouples power from computing and frees

PSU/Power Shelf moved to Power Rack

the IT rack for near-full compute use. It also enables 800V HVDC high-voltage delivery cuts current and I^2R losses, lifting efficiency from the 48V era's 80-90% towards >90%, while scaling per-rack power module and high-voltage cable content. Given the industry trend of increasing in-rack space density and surging single-rack voltage, we expect ACES's high-voltage power cable business to continue growing.

Figure 34

Traditional rack architecture versus the new architecture



Source: SinoPac, TI, Tech news

Figure 35

Schneider power rack product



Source: SinoPac

Schneider showcased power rack product at Computex 2026

TP of NT\$270

Initiate with an Outperform rating

We initiate coverage of ACES with an Outperform rating given its dual growth engine from Bloom's strong expansion and high-speed connector customer wins and generation upgrades. We forecast 2027/28 EPS of NT\$11.19/NT\$14.93, with our 2027 forecast 48% ahead of consensus. Our TP of NT\$270 is based on 20x 2H27-1H28SP PE, backed by a 72% EPS Cagr in 2026-28SP driven by Bloom's significant ramp and larger content in server products. Initiate coverage with an Outperform rating.

Company profile

ACES was founded in 1996, and it mainly produces connectors, micro-coaxial cable, high-speed transmission cables, and RF connectors. Connectors and cable assemblies link two separate subsystems or operating units and carry the signals between them, allowing the overall system to function properly. They are used across a wide range of electronic products, with main applications spanning notebooks and PC peripherals, consumer electronics, automotive electronics, cloud servers, networking equipment, and industrial equipment.

To keep pace with the push towards lighter, thinner, and smaller notebooks and consumer devices, ACES developed high-temperature-resistant, fine-pitch, and low-profile products at an early stage. At the same time, it is moving actively into the high-frequency, high-speed connectors, high-speed cables, and power supplies required for cloud servers, as well as the connector and cable assemblies used in automotive electronics.

Figure 36

ACES product portfolio

Product category	2Q26 revenue breakdown	Average GM	Product application
Industry	21%	15%	UPS and IPC
Networking	15%	30-35%	Signal set-top box, WiFi router and devices
Server	16%	35-40%	MCIO, Multi-Track, board-to-board, and E1/E3 connectors
High-voltage cable for Bloom	4%	20%	PCS cables, hot-box cables and DLO high-voltage cables
Automotive	4%	15%	ADAS, Intelligent Cockpit and Vehicle-to-Everything (V2X)
Consumer and NB	40%	20-25%	Smartphone and Notebook

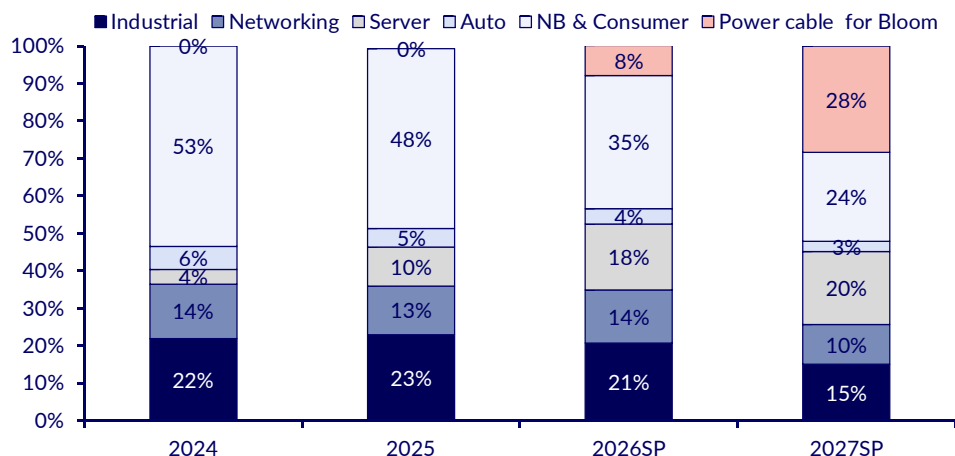
Source: SinoPac

AI-related product contribution increasing

ACES has leveraged M&A to gain new capabilities, plants and technology

Figure 37

Sales mix by product



Source: SinoPac

Company development

ACES has used M&A well to gain new capabilities, plants and technology, which in turn opened doors to new customers and markets. In 2015, it bought MEC IMEX to add cable assembly capability and a plant in the Philippines, which took it into the industrial market. In 2017, the CPC deal gave it access to the European auto connector market and a plant in Vietnam. In 2019, it bought Kuang Ying to add metal stamping capacity and reach Taiwan telecom customers. The key deal came in 2021, when ACES bought 100% of Genesis, a US high-speed interconnect maker based in Atlanta. The main goal was to gain Genesis's long-standing ties with US CSP and cloud customers. In 2025, ACES opened its Phase Two R&D headquarters in Taoyuan, which focuses on cloud connectors and high-speed cables. We believe 10 years of M&A have turned ACES from a consumer connector maker into a supplier of high-speed interconnect solutions for AI servers and the cloud.

Figure 38

ACES M&A activity

Year	Type/entity	Capability gained	Market entered	Representative products
2011	Establishment	Precision connector manufacturing capability	Core connectors	Board connectors
2015	M&A – MEC	Cable assembly product-line manufacturing capability	Industrial	Wire harness/cable assembly
2017	M&A – CPC	European automotive connector capacity	European Automotive	FAKRA automotive RF connectors
2019	M&A – KY	Metal stamping-part manufacturing capability	Taiwan Telecom	Stamping parts
2021	M&A – Genesis	High-speed cable technology	US Telecom/Server	High-speed cable/SlimSAS
2025	R&D expansion	2 RD HQ for Cloud-computing connector/high-speed cable	Cloud/Datacentre	High-speed backplane connector

Source: SinoPac, ACES

Shareholding structure

ACES's shareholding structure is relatively stable, with the top 10 owning about 30%, including Directors and Supervisors' total share of 9%. Foreign investor holdings have increased since the company entered the high-speed connectors industry and were around 22% in August 2026.

Foreign investors hold
about 22% of shares

ASIC customer wins to help
server revenue grow 74%
YoY in 2027SP

Figure 39

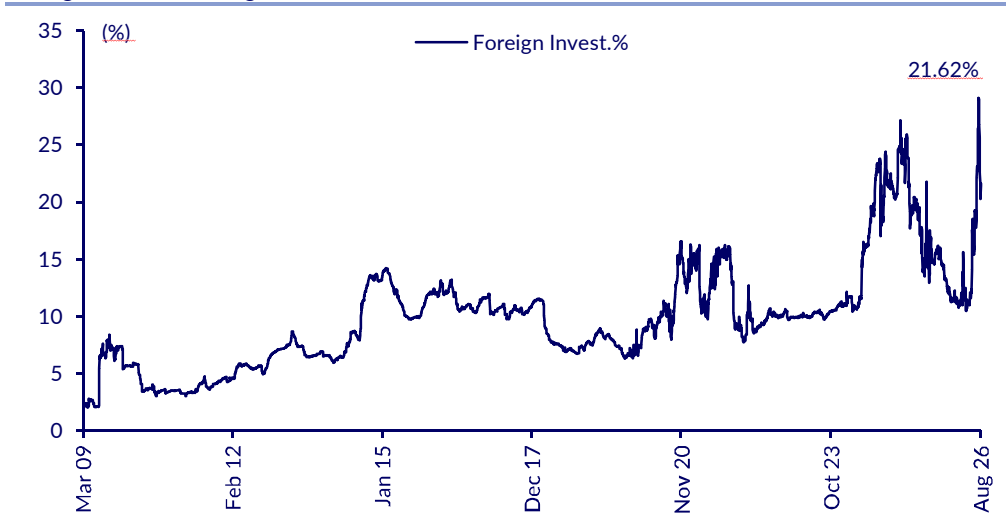
Top-10 shareholders

	Holding %
Yuan Wan-Ting (Chairman)	5.28
Keyan Investments Co., Ltd. (owned by Chairman's family)	3.98
Hsu Chang Fei (Chairman's spouse)	3.76
Wei Ji Investments Co., Ltd.	3.55
Deutsche Bank AG & Albula Investment Fund	3.54
CITI & HK First Securities Agent Invest	2.97
Yuan Hsiang Feng (Chairman's family)	2.89
Taishin International & Aces Electronics	1.92
Liao Ming Shan	1.25
Yuan Chen Ting (Chairman's family)	1.05
Top-10 shareholders	30.19
Director and supervisors	9.05

Source: SinoPac

Figure 40

Foreign investor holdings



Source: TEJ, Sinopac

Financial forecasts

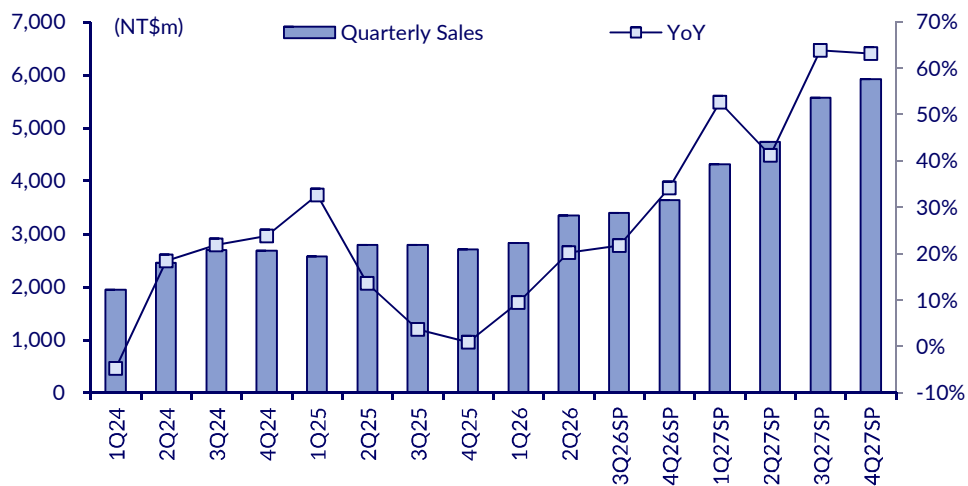
We forecast sales to rise by 22%/56%/30% in 2026/27/28, fueled by robust high-speed connector shipments from 2H26, rising Gen6 penetration that drives high-speed connector ASP expansion, and Bloom's sustained, large-scale capacity expansion, which should provide a durable growth engine.

AI product sales, both connectors and cables, will make a more meaningful revenue contribution in 2H26SP given ACES's broadening ASIC customer base. We expect shipment contribution from high speed connectors and cables to help its server revenue grow a further 107%/74% YoY into 2026/2027.

Growth rate of sales to accelerate from 2026SP

Figure 41

Quarterly sales and YoY change



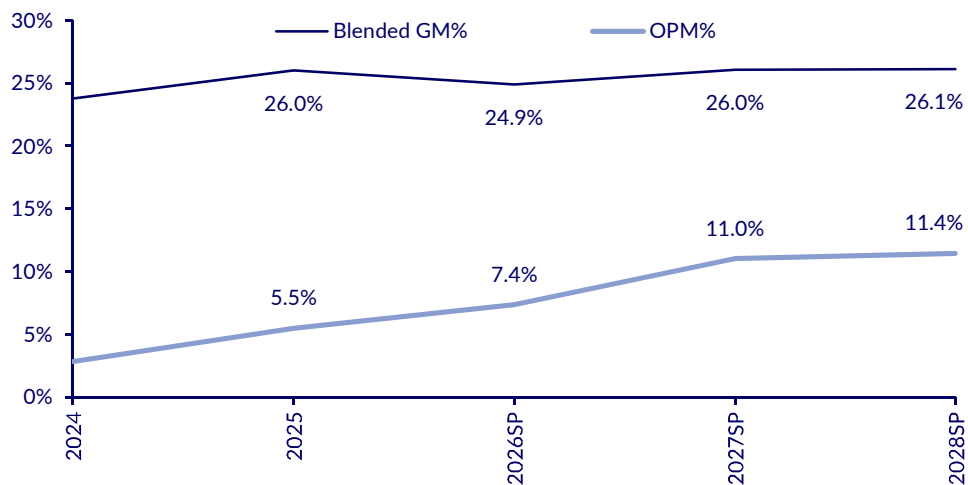
Source: SinoPac

Given the high-speed connectors carry higher gross margin of 40% and cable's GM keeps improving with the learning curve, we forecast ACES's GM to expand from 24.9% in 2026 to 26.0%/26.1% in 2027/28, partially offset by the strong power cables ramp which may dilute the overall growth margin.

Both GM and OPM steadily improving

Figure 42

GM and OPM



Source: SinoPac

Figure 43

Quarterly P&L												
(NT\$m)	1Q26	2Q26	3Q26SP	4Q26SP	1Q27SP	2Q27SP	3Q27SP	4Q27SP	2025	2026SP	2027SP	2028SP
Sales	2,822	3,350	3,396	3,631	4,307	4,733	5,567	5,924	10,860	13,199	20,531	26,733
Gross profit	694	859	839	892	1,116	1,240	1,468	1,524	2,824	3,284	5,348	6,983
Opex	546	613	562	592	664	730	827	863	2,227	2,313	3,085	3,923
Operating profit	147	246	277	300	451	510	641	660	597	970	2,263	3,060
Non-OP	(4)	13	32	35	40	42	37	39	218	76	159	171
Pretax profit	143	259	309	335	492	552	679	699	815	1,046	2,421	3,231
Net profit	108	201	250	271	398	447	550	566	661	830	1,961	2,617
EPS (NT\$)	0.67	1.22	1.53	1.66	2.27	2.55	3.13	3.23	4.35	5.07	11.19	14.93
Growth												
Sales QoQ	4%	19%	1%	7%	19%	10%	18%	6%				
Sales YoY	9%	20%	22%	34%	53%	41%	64%	63%	11%	22%	56%	30%
EPS QoQ	(19%)	82%	26%	8%	37%	12%	23%	3%				
EPS YoY	(51%)	81%	4%	103%	241%	110%	105%	95%	73%	17%	121%	33%
Margin												
Gross margin	24.6%	25.6%	24.7%	24.6%	25.9%	26.2%	26.4%	25.7%	26.0%	24.9%	26.0%	26.1%
Opex	19.4%	18.3%	16.6%	16.3%	15.4%	15.4%	14.9%	14.6%	20.5%	17.5%	15.0%	14.7%
OP margin	5.2%	7.3%	8.2%	8.3%	10.5%	10.8%	11.5%	11.1%	5.5%	7.4%	11.0%	11.4%
Non-OP	(0.2%)	0.4%	0.9%	1.0%	0.9%	0.9%	0.7%	0.7%	2.0%	0.6%	0.8%	0.6%
Net margin	3.8%	6.0%	7.4%	7.5%	9.3%	9.4%	9.9%	9.6%	6.1%	6.3%	9.6%	9.8%

Source: SinoPac

Figure 44

Sales mix and GM assumptions

Sales (NT\$m)	2025	2026SP	2027SP	2028SP
Industrial	2,498	2,732	3,104	3,456
Networking	1,412	1,885	2,150	2,665
Server	1,118	2,319	4,025	5,353
Power cable for Bloom	-	1,076	5,819	9,229
Auto	543	540	544	560
NB & Consumer	5,321	4,680	4,888	5,470
Total	10,860	13,199	20,531	26,733
YoY (%)	2025	2026SP	2027SP	2028SP
Industrial	16%	9%	14%	11%
Networking	0%	34%	14%	24%
Server	191%	107%	74%	33%
Power cable for Bloom	0%	0%	441%	59%
Auto	(10%)	0%	1%	3%
NB & Consumer	2%	(12%)	4%	12%
Total	11%	22%	56%	30%
Sales mix (%)	2025	2026SP	2027SP	2028SP
Industrial	23%	21%	15%	13%
Networking	13%	14%	10%	10%
Server	10%	18%	20%	20%
Power cable for Bloom	0%	8%	28%	35%
Auto	5%	4%	3%	2%
NB & Consumer	49%	35%	24%	20%
Total	100%	100%	100%	100%
Gross margin (%)	2025	2026SP	2027SP	2028SP
Industrial	15.0%	14.7%	15.0%	16.0%
Networking	34.0%	34.2%	35.0%	35.0%
Server	35.0%	37.9%	42.2%	42.1%
Power cable for Bloom	0.0%	20.0%	20.3%	20.5%
Auto	18.0%	14.8%	15.0%	15.0%
NB & Consumer	27.8%	23.5%	23.9%	23.3%
Total	26.0%	24.9%	26.0%	26.1%

Source: SinoPac

Cashflow and balance sheet

ACES's balance sheet shows healthy debt exposure with an improving net cash level. Given its plan to massively expand capacity at its Taiwan plants, we expect Capex to remain at a high level of NT\$1,075m in 2026 and then slightly decline to NT\$855m in 2027. We forecast its depreciation-to-sales ratio to be around 3% in 2027, which is at the low end of its historical level.

We expect ACES's ROE to expand from 10% in 2026 to 21% in 2027 and 23% in 2028, as the volume ramp of AI high-speed connectors and Bloom Energy power cables drives a richer product mix and gross margin expansion, delivering 121% EPS growth in 2027.

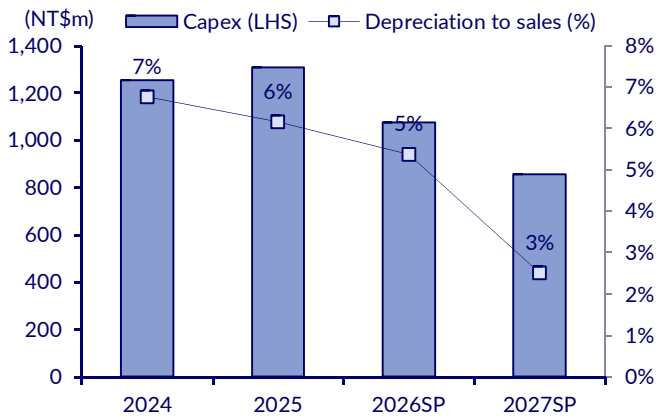
We expect ACES's FCF to turn positive in 2026 as operating cashflow scales with the AI high-speed connector and Bloom power cable ramp while Capex normalises after the 2026 capacity buildout. Looking ahead, we expect ACES's free cashflow per share to be NT\$0.8-1.5 in coming years.

Capex-to-sales ratio of
12%/8% in 2025/26

Free cashflow per share of
NT\$-0.6/0.8 in 2025/26

Figure 45

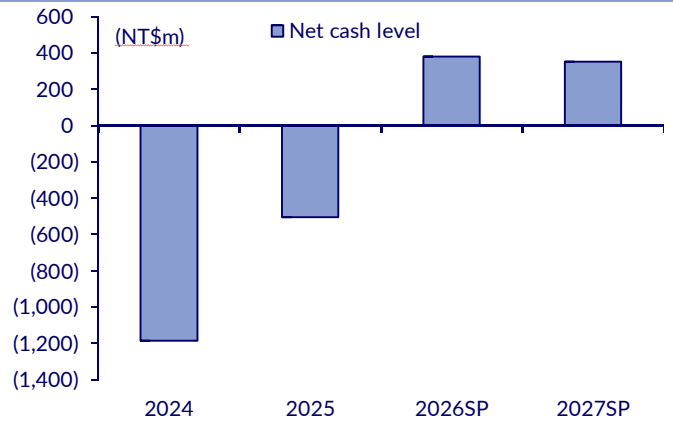
Capex and depreciation to sales



Source: SinoPac

Figure 46

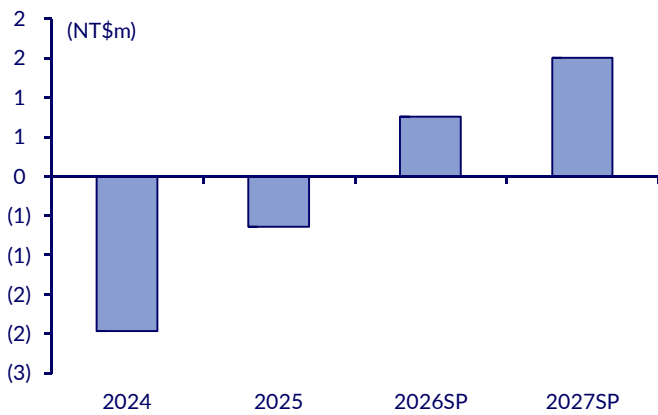
Net cash position



Source: SinoPac

Figure 47

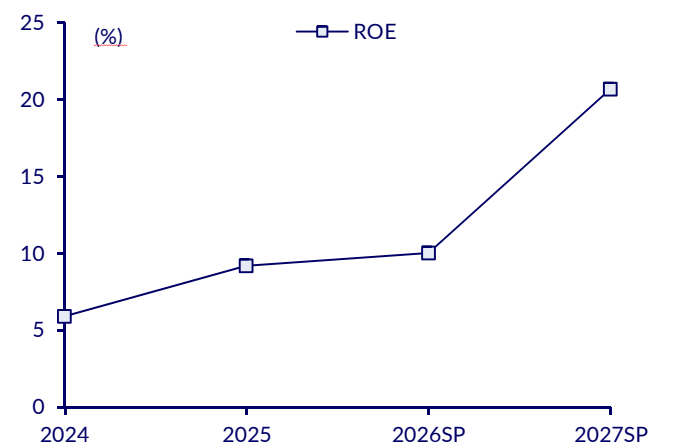
Free cashflow per share



Source: SinoPac

Figure 48

ROE



Source: SinoPac

Figure 49

Forward PE



Source: SinoPac

Figure 50

Forward PB



Source: SinoPac

Figure 49

Balance sheet							
(NT\$m)	2021	2022	2023	2024	2025	2026SP	2027SP
Cash & bank deposits	2568	2459	2058	2001	2483	3368	3341
ST marketable securities	100	0	0	2	70	70	70
Accounts receivable (trade debtors)	2991	2779	2743	3352	3331	3473	5133
Inventories	1663	1454	1189	1394	1436	2479	3796
Prepaid, deferred tax and others	106	141	87	79	95	95	95
Other current assets	166	165	98	141	91	91	91
Total Current Assets	7595	6998	6175	6969	7506	9577	12525
LT Investment	1136	1130	901	954	1196	818	818
Gross Fixed	5869	6393	6507	8040	8692	9767	10622
Unfinished projects	186	706	1229	1142	1575	1475	1525
Accum. Deprec.	(3227)	(3671)	(3996)	(4768)	(5396)	(6105)	(6621)
Fixed assets	2829	3428	3741	4415	4871	5136	5526
Deferred assets	78	81	81	69	70	70	70
Intangible assets	156	154	192	154	140	140	140
Other LT assets	1079	1049	1161	1036	1066	1066	1066
Total Assets	12873	12840	12251	13596	14849	16808	20146
Short-term borrowings	1044	1429	1467	195	794	794	794
Bills Issued	0	0	0	0	0	0	0
Accounts payable	1922	1624	1409	1961	2016	2833	4338
Curr. Of L-T Debt	240	1119	774	233	119	375	243
Others current liabilities	1337	1220	1014	1127	1086	1076	1096
Total Current liabilities	4544	5392	4664	3516	4016	5078	6471
Long-term debt	2059	1216	1737	2991	2194	2194	2194
Deferred Taxations	302	317	308	356	419	419	419
Other Liabilities	436	260	285	272	287	462	737
Total Liabilities	7340	7185	6994	7134	6915	8152	9821
Common Stocks	1344	1344	1344	1419	1624	1753	1753
Reserves	1654	1691	1719	2312	2962	3045	3241
Retained earnings	2555	2492	2236	2529	3141	3649	5123
Others	(21)	128	(43)	202	208	208	208
Shareholder funds	5532	5655	5257	6462	7934	8655	10325

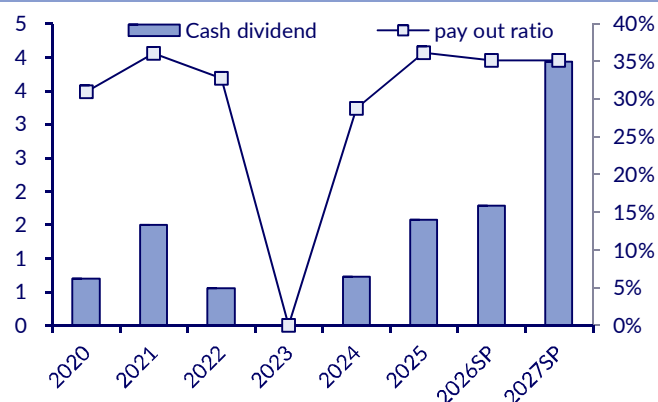
Source: SinoPac

ACES has had a dividend payout ratio of around 29-36% in the past five years, except for 2023, when the company reported a loss. We expect to maintain a payout ratio around 35% as the ACES's earnings significantly improved, but the actual dividend payout depends on future investments and business plans.

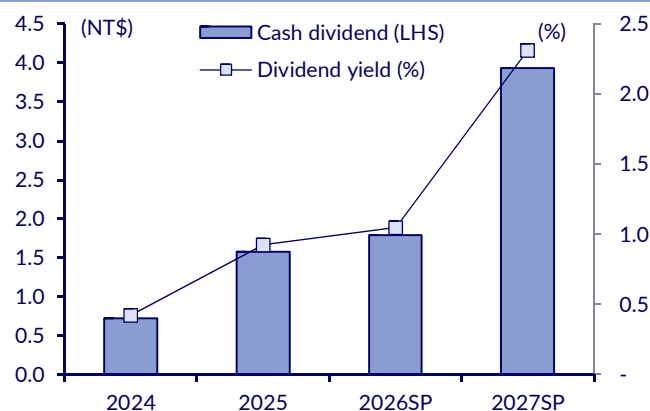
Figure 50

Cash dividend payout						
(NT\$m)	2020	2021	2022	2023	2024	2025
Net profit	251	511	225	(267)	344	661
Payout ratio	31%	36%	33%	0%	29%	36%
Cash dividend (NT\$)	0.7	1.5	0.6	0.0	0.7	1.6
Dividend yield	0.4%	0.9%	0.3%	0.0%	0.4%	0.9%

Source: SinoPac

Figure 51
DPS and payout ratio


Source: SinoPac

Figure 52
Cash dividend and yield


Source: SinoPac

Figure 53
Cashflow statement

(NT\$m)	2021	2022	2023	2024	2025	2026SP	2027SP
Net income	508	223	(268)	344	661	830	1,961
Depreciation	564	651	651	661	669	709	516
Amortization	29	48	55	78	50	49	102
Change in working cap.	(520)	(27)	0	(184)	29	(379)	(1,451)
Investment income	(31)	(10)	11	(3)	37	(10)	(9)
Others non-cash op	219	298	214	74	(236)	-	-
Cash flow from operation	769	1,183	663	971	1,210	1,199	1,119
Capex	(1,020)	(1,116)	(887)	(1,253)	(1,308)	(1,075)	(855)
LT investment decrease (increase)	(217)	(17)	21	-	378	-	-
ST investment decrease (increase)	243	74	22	(36)	(58)	-	-
Others CFI	111	(76)	(206)	173	3	-	-
Cash flow from investment	(883)	(1,136)	(1,050)	(1,117)	(984)	(1,075)	(855)
ST borrowing	(159)	354	52	(1,272)	599	-	-
LT borrowing	314	16	150	336	(91)	-	-
Bonds Issued	603	-	-	999	-	1,000	-
Bonds Redeemed	-	-	-	(1)	-	-	-
Dividend paid	(86)	(202)	(74)	-	(112)	(239)	(292)
Dir.&Emp.Bonus	-	-	-	-	-	-	-
Others CFF	328	(207)	(85)	(43)	(252)	-	-
Cash flow from financing	1,000	(39)	43	19	144	761	(292)
Net change in cash	887	8	(343)	(127)	370	885	(28)
Exchange Influence	(59)	(117)	(57)	70	112	-	-
Beginning cash	1,740	2,568	2,459	2,058	2,001	2,483	3,368
Ending cash	2,568	2,459	2,058	2,001	2,483	3,368	3,341

Source: SinoPac

ACES Enters from Gen6 with Vertical Integration and flexible lead time

CSPs are searching for a supplier able to provide both connectors and cables

Competitive positioning

In high-speed connectors, ACES competes primarily with overseas peers including Amphenol (APH), TE, and Molex. APH's edge lies in a development-technology lead of one to two generations, while ACES's relative strength rests on customers' recognition on delivering quality comparable to the overseas majors, alongside more flexible lead times, strong capacity-expansion support, and fast ramp-up.

The structural opportunity comes from the supply chain integration trend. As transmission speeds rise, CSPs increasingly prefer suppliers which can integrate high-speed connectors with high-speed cables and ship assembled, finished goods.

ACES is one of the few Taiwanese players with this vertical-integration footprint

Gen6 suppliers include ACES, APH, TE, and Lotes

ACES is one of the few Taiwanese players with this vertical-integration footprint: it holds wire-drawing technology transferred in-house from ITRI, produces everything from wire drawing through assembly on its own, and its commitment to moving into high-speed cables has been noted by AWS and Meta, backed by roughly two years of qualification work already completed.

By contrast, other Taiwanese peers have yet to build comparable vertical integration. Customers have historically split connectors and cables across separate suppliers, with cable suppliers represented by BizLink (3665 TT) and Longwell (6290 TT), while peers such as Lotes (3533 TT), Alltop (3526 TT), Argosy (3217 TT) and JPC Connectivity (6197 TT) are likewise strong in connectors but lack in-house cable capability.

Since the Gen5 qualified-supplier base was already fragmented, the Gen6 bar of combined connector-plus-cable capability becomes ACES's entry point, bringing ACES into design-in from Gen6. The qualified connector supplier base is small, with suppliers including APH, TE, and ACES, with Lotes added subsequently.

Peer comparison

ACES's primary local competitors in connectors include Lotes, Alltop, Argosy and JPC Connectivity. In the cable industry, it competes with Bizlink and Longwell. ACES's foreign peers include Amphenol, TE and FIT.

Figure 54

Peer comparison

Company	Code	Mkt Cap (US\$bn)	Rec	Earnings growth (%)			PE (x)			PB (x)			ROE (%)		
				26SP	27SP	28SP	26SP	27SP	28SP	26SP	27SP	28SP	26SP	27SP	28SP
Taiwan															
ACES	3605 TT	0.93	O-PF	17	121	33	33.1	15.0	11.3	3.5	2.9	2.4	10	21	23
Bizlink	3665 TT	18.2	O-PF	50	94	20	37.7	19.9	16.5	9.5	6.8	5.2	27	40	36
Longwell	6290 TT	1.5	N-R	23	11	na	28.6	25.8	na	5.0	4.9	na	18	20	na
Lotes	3533 TT	6.5	HLD	11	19	29	24.0	20.1	15.6	4.7	4.2	3.6	21	22	25
Alltop	3526 TT	0.6	N-R	25	33	na	16.0	12.8	na	4.5	4.1	na	32	42	na
Argosy	3217 TT	0.4	N-R	2	9	na	10.3	10.0	na	2.4	2.4	na	29	31	na
JPC	6197 TT	1.3	N-R	83	42	na	30.0	21.1	na	8.3	5.8	na	29	52	na
Foreign															
Amphenol TE	APH US	211.3	N-R	60	23	na	51.5	32.1	23.1	16.0	11.7	8.5	41	38	32
Connectivi ty	TEL US	63.0	N-R	31	14	na	25.3	19.0	14.9	5.1	4.7	4.1	25	28	25
FIT	6088 HK	4.6	N-R	68	46	na	25.2	17.0	9.5	1.7	1.6	1.4	9	13	13

Source: Sinopac, Bloomberg

Target price calculation

We initiate coverage of ACES with an O-PF rating and a target price of NT\$270, based on 20x 2H27-1H28SP EPS, supported by a strong 72% EPS Cagr in 2026-28SP. We use a PE-based methodology for ACES, in line with other connector companies. We initiate coverage with an Outperform rating.

Our target multiple of 20x is in line with the 2027SP average PE of 20.4x for Taiwan-listed connector and cable peers with direct AI datacentre exposure, namely BizLink, Lotes and JPC Connectivity. We view this as a reasonable anchor. ACES offers faster earnings growth than the group, with 2027SP EPS growth of 121% versus the peer average of 52%, while its 2027-28SP ROE of 21-24% sits at the low end of the peer range of 22-52%.

We also believe the target PE premium is justified as the AI revenue contribution, including AI data transmission and power, rises from 4% in 2024 to 48% in 2027SP. The company maintains its key supplier position at Bloom as the company ramps up its capacity expansion, while ASIC customer wins and higher connector content from the Gen6 upgrade cycle should provide additional growth drivers. As the company gradually shifts away from its legacy consumer electronics base and its exposure to cyclical downturns, we see room for a structural rerating.

Figure 55

Target price calculation				
	Target PE (x)	Valuation period	12-month rolling EPS (NT\$)	Target Price (NT\$)
New	20	2H27-1H28SP	13.5	270

Source: SinoPac

Key risks

We see four key operational risks for ACES:

Raw material cost volatility: Copper prices drive a large share of Cogs for ACES's cable products, while connectors carry far less exposure. ACES currently reprices its cable products with customers on a quarterly basis, which has allowed it to sustain a long-term GM of around 20% on power cables. However, the pass-through might be lagging, so sharp copper price swings could cause quarterly GM to fluctuate before repricing impact catches up.

Delays in ODM pull-in: ACES ships its high-speed connectors directly to ODM customers. Because rack assembly sits at the final stage of the AI server supply chain, any upstream disruption, such as components shortages and assembly yield issue, could push out rack shipment schedules or reduce volumes. This could in turn lead ODMs to cut or defer orders for high-speed connectors from ACES, creating quarter-to-quarter volatility in server revenue.

Slower-than-expected ramp-up at Bloom Energy: Power cables for Bloom will account for 28%/35% of ACES's revenue in 2027/28SP, which makes Bloom's ramp-up the single largest swing factor in our forecasts. Delays could arise on both the supply and demand sides. On the supply side, Bloom could fall behind its capacity plan if new facility fit-out, equipment installation or hiring takes longer than expected. On the demand side, its datacentre customers could defer deployments due to grid interconnection, gas supply or financing hurdles, or due to regulatory headwinds such as tighter permitting and emissions rules for on-site gas-fired generation, utility restrictions on behind-the-meter power, or changes to fuel cell tax incentives. Either scenario would directly reduce ACES's power cable shipments. As volumes scale, Bloom may also qualify a second cable supplier, which would add pressure to ACES's share and ASP.

Prolonged NB weakness: NB and Consumer remains ACES's largest segment at 35% of 2026SP revenue, and our forecasts assume it returns to 4%/12% growth in 2027/28SP on a Windows 12-driven replacement cycle. If end-demand stays soft or the replacement cycle slips, a further NB decline could offset part of the growth from Bloom and AI servers and dilute group GM.

Investment thesis

ACES is evolving from a notebook connector maker into a supplier of AI interconnects and power cables, with two growth engines ramping at the same time. The first is Bloom Energy. ACES has co-developed SOFC power cables with Bloom for about six years, and it is currently one of three suppliers of Bloom's power cable assemblies, with around one-third of the total. It ships inner PCS and hot-box cables in 2026 and adds external DLO high-voltage cables from 2027, with order visibility extending to 2028 and beyond. The second engine is AI/ASIC servers. On ASIC platforms, ODMs have more say in supplier selection, so ACES wins both motherboard and daughterboard sockets, which lifts content from 10-20 to ~30 units per rack. Gen6 raises connector ASP by ~15%, and a new in-chassis PCIe Gen6 cable line, qualified by two CSPs, adds a higher-content stream. ACES integrates vertically from wire drawing to final assembly, which makes it one of the few Taiwanese suppliers able to ship connector-plus-cable solutions as CSPs consolidate their vendor base.

Catalysts

(1) Bloom's capacity ramp from 2GW to 4GW/6GW in 2026-28 and new data-center wins (Oracle, Nebius, AEP, Equinix) converting into cable orders; (2) DLO high-voltage cable shipments starting in 2027; (3) ASIC customer ramps in 2H26 and a broader product range beyond MCIO into Multi-Track, board-to-board and E1/E3 connectors; (4) rising Gen6 penetration on AI server trays; (5) high-speed cable lines expanding from two to eight by end-2026, with GM improving from ~20% toward ~30%.

Valuation details

We adopt a PE-based valuation methodology as we believe the market will mainly focus on the earnings growth outlooks of high-speed connector makers, which is better reflected with PE metrics. We assign a target multiple of 20x PE, more than +1sd of the three-year average, to reflect a strong outlook with margin expansion and an EPS Cagr of 72% in 2026-28 on solid Bloom Energy demand and increasing high speed connector content.

Investment risks

There could be downside risk to sales growth and margins if: (1) Bloom's deployments or backlog conversion slow on financing, gas supply or permitting delays, or ACES loses share among Bloom's cable suppliers; (2) ASIC programs ramp more slowly or CSP Capex is cut; (3) Gen6 adoption is slower than expected, or competition from Amphenol, TE, Molex and Lotes pressures ASP; (4) high-speed cable yield and GM improve more slowly than we assume; (5) NB and consumer demand weakens further on component shortages, tariffs and inflation; (6) TWD appreciation or higher copper prices squeeze margins.

ACES scores high in
balance-sheet-quality

Figure 56

Earnings and balance-sheet risk scores (lower the better)		
	Score	Comments
Earnings-quality flags		
Capex indiscipline	0	
Cash burn	1	Capacity expansion for high-speed connectors, high-speed cable and power cable products
Rising non-core or intangibles	0	
Rising working capital	0	
Poor cash conversion	0	
Earnings-quality risk score (EQRS)	1/5	
Balance-sheet-quality flags		
Cash burn	1	Capacity expansion for high-speed connectors, high-speed cable and power cable products
Excessive leverage	0	
Frequent fundraising	0	
Liquidity concerns	0	
Operational stress	0	
Balance-sheet-quality risk score (BQRS)	1/5	

Source: SinoPac

Detailed financials

Profit & Loss (NT\$m)

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Revenue	10,393	8,486	9,771	10,860	13,199	20,531	26,733
Cogs (ex-D&A)	(7,461)	(6,028)	(6,710)	(7,317)	(9,157)	(14,566)	(19,258)
Gross Profit (ex-D&A)	2,932	2,458	3,061	3,543	4,042	5,965	7,475
Research & development costs	(574)	(621)	(593)	(615)	(861)	(1,489)	(1,844)
Selling & marketing expenses	(686)	(585)	(593)	(621)	(666)	(847)	(1,153)
Other SG&A	(916)	(876)	(858)	(991)	(787)	(749)	(926)
Other Op Expenses ex-D&A	-	0	-	0	-	-	-
Op Ebitda	755	376	1,018	1,316	1,729	2,881	3,551
Depreciation/amortisation	(699)	(706)	(740)	(719)	(758)	(618)	(491)
Op Ebit	57	(331)	278	597	970	2,263	3,060
Interest income	27	50	42	31	34	35	35
Interest expense	(85)	(109)	(104)	(79)	(72)	(73)	(73)
Net interest inc/(exp)	(58)	(59)	(62)	(48)	(38)	(38)	(38)
Associates/investments	(23)	(7)	13	295	124	181	195
Forex/other income	212	23	108	(30)	(85)	(56)	(57)
Asset sales/other cash items	-	-	-	-	-	-	-
Provisions/other non-cash items	130	105	49	2	75	72	71
Asset revaluation/Exceptional items	(3)	-	-	-	-	-	-
Profit before tax	315	(270)	387	815	1,046	2,421	3,231
Taxation	(92)	2	(43)	(154)	(216)	(460)	(614)
Profit after tax	223	(268)	344	661	830	1,961	2,617
Preference dividends	-	-	-	-	-	-	-
Profit for period	223	(268)	344	661	830	1,961	2,617
Minority interest	2	2	0	0	0	0	0
Net profit	225	(267)	344	661	830	1,961	2,617
Extraordinaries/others	0	0	0	0	0	0	0
Profit available to ordinary shares	225	(267)	344	661	830	1,961	2,617
Dividends	(202)	(74)	0	(112)	(239)	(292)	0
Retained profit	24	(340)	344	550	591	1,670	2,617
Adjusted profit	225	(267)	344	661	830	1,961	2,617
EPS (NT\$)	1.7	(2.0)	2.4	4.4	5.1	11.2	14.9
Adj EPS [pre excep] (NT\$)	1.7	(2.0)	2.4	4.3	5.1	11.2	14.9
Core EPS (NT\$)	1.7	(2.0)	2.4	4.4	5.1	11.2	14.9
DPS (NT\$)	0.6	-	0.7	1.6	1.8	3.9	5.2

Profit & loss ratios

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Growth (%)							
Revenue growth (% YoY)	(1.7)	(18.3)	15.1	11.1	21.5	55.5	30.2
Ebitda growth (% YoY)	(31.8)	(50.3)	171.0	29.2	31.4	66.7	23.3
Ebit growth (% YoY)	(89.0)	(682.8)	nm	114.2	62.6	133.2	35.2
Net profit growth (%)	(55.9)	(218.3)	nm	92.2	25.6	136.3	33.4
EPS growth (% YoY)	(59.7)	(216.7)	nm	81.5	16.6	120.5	33.4
Adj EPS growth (% YoY)	(59.7)	(216.7)	nm	81.5	16.6	120.5	33.4
DPS growth (% YoY)	(63.3)	(100.0)	72,087,981.90	118.1	13.4	120.5	33.4
			0.0				
Core EPS growth (% YoY)	(59.7)	(216.7)	nm	81.5	16.6	120.5	33.4
Margins (%)							
Gross margin (%)	28.2	29.0	31.3	32.6	30.6	29.1	28.0
Ebitda margin (%)	7.3	4.4	10.4	12.1	13.1	14.0	13.3
Ebit margin (%)	0.5	(3.9)	2.9	5.5	7.4	11.0	11.4
Net profit margin (%)	2.2	(3.1)	3.5	6.1	6.3	9.6	9.8
Core profit margin	2.2	(3.1)	3.5	6.1	6.3	9.6	9.8
Op cashflow margin	11.4	7.8	9.9	11.1	9.1	5.5	3.6
Returns (%)							
ROE (%)	4.1	(4.9)	6.0	9.5	10.3	21.1	23.6
ROA (%)	0.3	(2.6)	1.9	3.4	4.9	9.9	11.3
ROIC (%)	0.7	(5.0)	3.5	6.3	9.3	19.2	20.9
ROCE (%)	0.9	(4.8)	3.7	7.3	11.4	24.2	26.9
Other key ratios (%)							
Effective tax rate (%)	29.1	0.6	11.1	18.8	20.6	19.0	19.0
Ebitda/net int exp (x)	13.1	6.4	16.5	27.2	45.3	76.1	93.7
Exceptional or extraord. inc/PBT (%)	-	-	-	-	-	-	-
Dividend payout (%)	32.8	-	30.1	36.1	35.1	35.1	35.1

Source: SinoPac

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Balance sheet (NT\$m)

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Cash & equivalents	2,459	2,058	2,001	2,483	3,368	3,341	2,725
Accounts receivable	2,779	2,743	3,352	3,331	3,473	5,133	7,426
Inventories	1,454	1,189	1,394	1,436	2,479	3,796	4,937
Other current assets	165	98	142	161	161	161	161
Current assets	6,857	6,088	6,889	7,411	9,482	12,430	15,250
Fixed assets	3,428	3,741	4,415	4,871	5,136	5,526	6,104
Investments	1,211	981	1,023	1,267	888	888	888
Goodwill	0	0	0	0	0	0	0
Other intangible assets	154	192	154	140	140	140	140
Other non-current assets	1,191	1,248	1,115	1,161	1,161	1,161	1,161
Total assets	12,840	12,251	13,596	14,849	16,808	20,146	23,544
Short term loans/OD	2,548	2,241	428	913	1,169	1,037	1,040
Accounts payable	1,624	1,409	1,961	2,016	2,833	4,338	5,643
Accrued expenses	-	-	-	-	-	-	-
Taxes payable	0	0	0	0	0	0	0
Other current liabs	1,220	1,014	1,127	1,086	1,076	1,096	1,086
Current liabilities	5,392	4,664	3,516	4,016	5,078	6,471	7,769
Long-term debt/leases/other	1,216	1,737	2,991	2,194	2,194	2,194	2,194
Convertible bonds	-	-	-	-	-	-	-
Provisions/other LT liabs	577	593	628	706	880	1,156	1,328
Total liabilities	7,185	6,994	7,134	6,915	8,152	9,821	11,291
Share capital	1,344	1,344	1,419	1,624	1,753	1,753	1,753
Retained earnings	2,492	2,236	2,529	3,141	3,649	5,123	6,789
Reserves/others	1,691	1,719	2,312	2,962	3,045	3,241	3,502
Shareholder funds	5,528	5,300	6,260	7,726	8,447	10,117	12,045
Minorities/other equity	128	(43)	202	208	208	208	208
Total equity	5,655	5,257	6,462	7,934	8,655	10,325	12,253
Total liabs & equity	12,840	12,251	13,596	14,849	16,808	20,146	23,544
Total debt	3,764	3,978	3,419	3,107	3,363	3,230	3,234
Net debt	1,305	1,920	1,418	624	(5)	(110)	508
Adjusted EV	22,636	22,786	25,037	26,162	27,999	27,844	28,413
BVPS (NT\$)	41.1	39.4	42.1	47.2	48.2	57.7	68.7

Balance sheet ratios

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Key ratios							
Current ratio (x)	1.3	1.3	2.0	1.8	1.9	1.9	2.0
Growth in total assets (% YoY)	(0.3)	(4.6)	11.0	9.2	13.2	19.9	16.9
Growth in capital employed (% YoY)	10.0	4.0	10.0	8.5	1.1	18.3	25.2
Net debt to operating cashflow (x)	1.1	2.9	1.5	0.5	-	-	0.5
Gross debt to operating cashflow (x)	3.2	6.0	3.5	2.6	2.8	2.9	3.4
Gross debt to Ebitda (x)	5.0	10.6	3.4	2.4	1.9	1.1	0.9
Net debt/Ebitda (x)	1.7	5.1	1.4	0.5	-	-	0.1
Gearing							
Net debt/equity (%)	23.1	36.5	21.9	7.9	(0.1)	(1.1)	4.1
Gross debt/equity (%)	66.6	75.7	52.9	39.2	38.9	31.3	26.4
Interest cover (x)	1.0	(2.6)	3.1	7.9	13.9	31.5	42.3
Debt cover (x)	0.3	0.2	0.3	0.4	0.4	0.3	0.3
Net cash per share (NT\$)	(9.7)	(14.1)	(9.9)	(4.1)	0.0	0.6	(2.9)
Working capital analysis							
Inventory days	69.7	71.6	63.3	64.3	72.1	75.4	80.7
Debtor days	101.3	118.8	113.8	112.3	94.1	76.5	85.7
Creditor days	79.3	82.2	82.6	90.3	89.2	86.2	92.2
Working capital/Sales (%)	14.9	18.9	18.4	16.8	16.7	17.8	21.7
Capital employed analysis							
Sales/Capital employed (%)	152.4	119.7	125.3	128.3	154.3	202.9	211.1
EV/Capital employed (%)	331.9	321.4	321.0	309.1	327.3	275.1	224.3
Working capital/Capital employed (%)	22.8	22.7	23.1	21.6	25.8	36.1	45.8
Fixed capital/Capital employed (%)	50.3	52.8	56.6	57.6	60.0	54.6	48.2
Other ratios (%)							
PB (x)	4.2	4.4	4.1	3.6	3.6	3.0	2.5
EV/Ebitda (x)	30.0	60.6	24.6	19.9	16.2	9.7	8.0
EV/OCF (x)	19.1	34.4	25.8	21.6	23.4	24.9	29.6
EV/FCF (x)	339.1	(101.7)	(88.5)	(266.4)	225.8	105.4	390.2
EV/Sales (x)	2.2	2.7	2.6	2.4	2.1	1.4	1.1
Capex/depreciation (%)	171.4	136.2	189.6	195.6	151.5	165.8	247.6

Source: SinoPac

Cashflow (NT\$m)

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Operating profit	57	(331)	278	597	970	2,263	3,060
Operating adjustments	167	63	66	65	(140)	(302)	(443)
Depreciation/amortisation	699	706	740	719	758	618	491
Working capital changes	(27)	0	(184)	29	(379)	(1,451)	(2,140)
Interest paid / other financial expenses	(10)	11	(3)	37	(10)	(9)	(9)
Tax paid	-	-	-	-	-	-	-
Other non-cash operating items	298	214	74	(236)	0	0	1
Net operating cashflow	1,183	663	971	1,210	1,199	1,119	960
Capital expenditure	(1,116)	(887)	(1,253)	(1,308)	(1,075)	(855)	(887)
Free cashflow	67	(224)	(283)	(98)	124	264	73
Acq/inv/disposals	57	43	(36)	321	-	-	-
Int, invt & associate div	(76)	(206)	173	3	-	-	-
Net investing cashflow	(1,136)	(1,050)	(1,117)	(984)	(1,075)	(855)	(887)
Increase in loans	369	202	62	508	1,000	-	-
Dividends	(202)	(74)	0	(112)	(239)	(292)	(689)
Net equity raised/others	(207)	(85)	(43)	(252)	0	0	0
Net financing cashflow	(39)	43	19	144	761	(292)	(689)
Incr/(decr) in net cash	8	(343)	(127)	370	885	(28)	(616)
Exch rate movements	(117)	(57)	70	112	0	0	1
Opening cash	2,568	2,459	2,058	2,001	2,483	3,368	3,341
Closing cash	2,459	2,058	2,001	2,483	3,368	3,341	2,725
OCF PS (NT\$)	8.8	4.9	6.8	8.0	7.3	6.4	5.5
FCF PS (NT\$)	0.5	(1.6)	(2.0)	(0.6)	0.8	1.5	0.4

Cashflow ratio analysis

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Growth (%)							
Op cashflow growth (% YoY)	53.8	(43.9)	46.3	24.7	(0.9)	(6.6)	(14.2)
FCF growth (% YoY)	-	(435.5)	-	-	-	113.0	(72.4)
Capex growth (%)	9.4	(20.5)	41.3	4.4	(17.8)	(20.4)	3.7
Other key ratios (%)							
Capex/sales (%)	10.7	10.5	12.8	12.0	8.1	4.2	3.3
Capex/op cashflow (%)	94.4	133.8	129.1	108.1	89.7	76.4	92.4
Operating cashflow payout ratio (%)	6.3	0.0	10.7	19.7	24.3	61.6	95.8
Cashflow payout ratio (%)	17.0	11.1	0.0	9.2	19.9	26.1	0.0
Free cashflow payout ratio (%)	302.0	-	-	-	192.7	110.5	0.0

DuPont analysis

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Ebit margin (%)	0.5	(3.9)	2.9	5.5	7.4	11.0	11.4
Asset turnover (x)	0.8	0.7	0.8	0.8	0.8	1.1	1.2
Interest burden (x)	5.6	0.8	1.4	1.4	1.1	1.1	1.1
Tax burden (x)	0.7	1.0	0.9	0.8	0.8	0.8	0.8
Return on assets (%)	0.3	(2.6)	1.9	3.4	4.9	9.9	11.3
Leverage (x)	2.3	2.3	2.2	2.0	1.9	1.9	1.9
ROE (%)	4.1	(4.9)	6.0	9.5	10.3	21.1	23.6

EVA® analysis

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Ebit adj for tax	40	(329)	248	484	770	1,833	2,479
Average invested capital	6,079	6,558	7,137	7,741	8,320	9,562	11,842
ROIC (%)	0.7	(5.0)	3.5	6.3	9.3	19.2	20.9
Cost of equity (%)	9.7	9.7	9.7	9.7	9.7	9.7	9.7
Cost of debt (adj for tax)	1.8	2.5	2.2	2.0	2.0	2.0	2.0
Weighted average cost of capital (%)	8.1	8.2	8.2	8.1	8.1	8.1	8.1
EVA/IC (%)	(7.4)	(13.2)	(4.7)	(1.9)	1.1	11.0	12.8
EVA (NT\$m)	(451)	(868)	(335)	(145)	95	1,056	1,517

Source: SinoPac



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